

IFSCA Act & Related Concepts

- IFSCA Act

1. Purpose & Scope

- It applies specifically to financial services, financial products and financial institutions operating in an international financial services centre [IFSC] set up under the Special **Economic Zones Act, 2005 (SEZ Act)**
 - **The Act thereby creates a regulatory regime for IFSCs in India—enabling entities to carry out cross-border financial operations under a unified regulator rather than multiple domestic regulators.**
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2. Key Definitions & Application

- **“Appropriate regulator”** means any financial sector regulator listed in the **First Schedule of the Act** (for example, Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), Insurance Regulatory and Development Authority of India (IRDAI), etc.).

Under the *IFSCA Act, 2019*, the “appropriate regulators” originally were:

- **RBI** – banking,
- **SEBI** – capital markets,
- **IRDAI** – insurance,
- **PFRDA** – pensions.

After the IFSCA was established in 2020, it became the **single unified regulator** for all financial products, services, and institutions operating within **India’s International Financial Services Centres (e.g., GIFT City)**—replacing the earlier multiple regulators.

- **“Financial institution”** is defined in Section 3(c) as a unit set up in an IFSC engaged in rendering financial services in respect of any financial product.
 - **“Financial product”** is defined in Section 3(d) to include **securities, contracts of insurance, deposits, credit arrangements, foreign currency contracts** (other than immediate currency exchanges) among others.
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3. Institutional Structure (Authority)

- The Act establishes the International Financial Services Centres Authority (IFSCA) (Section 4).
- Composition:
 - A Chairperson.
 - Members nominated by RBI, SEBI, IRDAI, and PFRDA.
 - **Two members from the Ministry of Finance.**

- o Two members appointed on the recommendation of a selection committee.

3. Age Limit

- The Act itself **does not prescribe a fixed minimum or maximum age**.
 - However, as per the **IFSCA (Terms and Conditions of Service of Chairperson and Members) Rules, 2020**:
 - o **Chairperson**: holds office **up to 65 years of age**.
 - o **Whole-time Members**: hold office **up to 62 years of age**.
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4. Tenure

- **Term**: 3 years from the date of appointment, **eligible for reappointment**.
 - **Removal**: The Central Government can remove members for proven misconduct, insolvency, conflict of interest, etc. (Section
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- The Authority is the statutory regulator for duties specified under the Act.
 - **Establishment of a Fund**: Section 15 provides for the “International Financial Services Centres Authority Fund” to meet expenses of the Authority.
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4. Powers & Functions of IFSCA

- **Functions (Section 12)**:
 - o **Develop and regulate** financial products, financial services and financial institutions in IFSCs.
 - o Regulate products, services and institutions in an IFSC which were permitted by any regulator (e.g., RBI/SEBI) before the Act.
 - o Regulate other financial products, services or institutions in IFSCs as notified by Central Government. indiacode.nic.in
 - o Recommend to Central Government other financial services/products/institutions which may be permitted in IFSCs.
- **Powers (Section 13)**:
 - o The Authority has powers similar to those of the appropriate regulators, to make regulations, issue directions, levy fees/charges, etc.

- Additional powers: The Act empowers the Authority to impose penalties, make regulations for financial services in IFSCs, supervise and inspect institutions.
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5. Regulatory Scope & Coverage

- The Act applies to “International Financial Services Centres” set up under **Section 18 of the SEZ Act, 2005.**
 - Coverage spans banking units, insurance, securities, fund management, leasing, deposits, foreign currency contracts, cross-border transactions **within IFSCs.** (As the definitions indicate).
 - **It effectively brings under one regulator the financial services in IFSCs which earlier would have been regulated by RBI/SEBI/IRDAI/PFRDA in their separate domains.**
 - The Act does *not* automatically override domestic regulators for domestic operations; its focus is on the IFSC regime.
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6. Procedural, Transitional & Ancillary Provisions

- Section 32 provides for “Power to remove difficulties” – allowing Central Government to issue orders for smooth implementation.
 - Section 33 provides for amendment to certain enactments. Section 34 gives savings (i.e., continuity of prior permissions, etc).
 - The Act enables the Authority to frame regulations, and various regulations have since been issued (e.g., the Finance Company Regulations, Banking Regulations under IFSC) under the Act.
 - Transitional arrangements: Entities already operating under domestic regulator’s permit can transition under IFSCA oversight in IFSCs.
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7. Significance & Implications

- The Act is a key plank in India’s effort to develop the GIFT International Financial Services Centre (GIFT IFSC) in Gujarat as a global financial hub by offering world-class financial services environment.
- **It simplifies regulatory architecture in IFSCs by creating a unified regulator (IFSCA), thereby reducing regulatory overlaps and potentially improving ease of doing business.**
- **Global Innovation Index by WIPO:** India has improved its position to 38th in the 2025 Global Innovation Index,

- **World Competitiveness Ranking** by IMD Business school- India ranks 41st out of 69 countries in the 2025 Ranking.

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- For financial institutions, the Act offers scope to innovate cross-border financial services under a specialized regulatory regime, possibly enhancing India's competitiveness in international financial services.
- It also sets the stage for India to adopt global regulatory practices and attract foreign financial players into IFSCs

1. IFSCA Act: Purpose, Structure & Key Provisions

Purpose & application

- The Act was enacted on 19 December 2019 to "provide for the establishment of an Authority to develop and regulate the financial services market in the International Financial Services Centres in India
- Section 2 states that the Act applies to IFSCs set up under **Section 18 of the Special Economic Zones Act, 2005.**

Definitions (Section 3)

- Key definitions include:
 - o "appropriate regulator" – a financial sector regulator specified in the First Schedule.
 - o "Authority" – meaning the IFSCA, established under Section 4.
 - o **"financial institution" – a unit set up in an IFSC engaged in rendering financial services in respect of any financial product.**
 - o "financial product" – includes securities, contracts of insurance, deposits, credit arrangements, foreign-currency contracts (other than immediate currency exchange) and other notified instruments.
 - o **"International Financial Services Centre" – an IFSC set up under Section 18 of SEZ Act.**

Institutional set-up (Chapter II)

- **Section 4: Establishment of the Authority (IFSCA) as a body corporate.**

Powers, functions & regulatory architecture

- Section 12: Functions of the Authority – to develop and regulate financial products, services and institutions in IFSCs; regulate those permitted

earlier by appropriate regulators; recommend to Central Government other services/products/institutions for IFSCs.

- Section 13: Powers of the Authority – including making regulations, issuing directions, etc.
 - **Chapter IV: Finance, accounts and audit** – e.g., Section 14: grants by Central Government; Section 15: Fund of Authority; Section 16: accounts & audit; Section 17: Performance review committee. [AdvocateKhoj](#)
 - **Chapter V: Foreign exchange transactions** – Section 20 deals with transactions in foreign currency in IFSCs.
 - Chapter VI: Miscellaneous – powers to make rules/regulations, override certain other enactments in relation to IFSCs (Section 30), modify other enactments (Section 31), remove difficulties (Section 32), amendment to certain enactments (Section 33), savings (Section 34).
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2. IFSCA (the Authority)

Role & scope

- **The International Financial Services Centres Authority (IFSCA)** is the **statutory body** created under the IFSCA Act. Its mandate: to regulate and develop financial services, financial products and financial institutions in IFSCs in India.
- It acts as a **unified regulator** for the IFSC ecosystem — which means it performs, for IFSCs, functions that domestic regulators perform in their respective domains.
- IFSCA is operationalised via various regulations — e.g., Banking Regulations 2020 for IFSCs, Insurance Regulations 2020, Issuance & Listing of Securities Regulations 2021.

Institutional structure & processes

- Head office located in GIFT City, Gandhinagar.
- IFSCA provides a “**single-window**” **approval process (the SWIT — Single Window IT System)** for entities to set up in the IFSC.
- **It collaborates with foreign regulators, global financial centres, for promoting cross-border linkages, innovation.**

Key functional aspects

- Licensing/registration of financial institutions in IFSCs (banks, insurance companies, fund managers, capital market intermediaries) under its regulations.
- Supervisory & compliance oversight of financial institutions in IFSCs.
- Regulatory innovation: frameworks for new products and services (fintech, aircraft/ship leasing in IFSCs) tailored to international operations. For example, a detailed framework for investment advisors in GIFT IFSC.

- **Facilitating foreign currency transactions in IFSCs (**Section 20 of IFSCA Act**) and aiming to enable full convertibility and global connectivity.**
- Promoting development of IFSC ecosystem: infrastructure, talent, global business-flows, etc.

Achievements and metrics

- According to IFSCA's own website as of June 2025: 939 IFSCA-registered entities; banking asset size in the IFSC in India (GIFT IFSC) USD 93.85 bn+.
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3. International Financial Services Centre (IFSC) - Concept and Indian Context

Concept

- An IFSC is a jurisdiction that provides financial services to non-resident and international clients, often in foreign currency, and operates under a regulatory, fiscal and operational regime tailored for global financial transactions.
- In India's context, an *IFSC is created under **Section 18 of the SEZ Act, 2005***, and then the IFSCA Act applies to such centres.

Features & objective

- The objective is to “**on-shore the offshore**” — bring back international financial services which might otherwise occur offshore, into India under Indian jurisdiction but global standards.
 - Key features of Indian IFSCs (as typified by GIFT IFSC) include:
 - Full convertibility of foreign currencies for eligible transactions.
 - Global-benchmark regulation and unified regulator (IFSCA).
 - Tax/other incentives, ease of doing business, proximity to India's domestic market.
 - Infrastructure support: physical (offices, towers, smart-city features) and digital (single-window approvals, global connectivity).
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4. GIFT IFSC & GIFT City



- The Gujarat International Finance Tec-City (GIFT City) is a planned smart city and financial hub, located near Gandhinagar/Ahmedabad in Gujarat, India.
- **Promoted as India's first operational smart city with integrated infrastructure, high-quality digital and physical connectivity, "walk-to-work" concept, etc.**

GIFT IFSC - Key Features

- ***GIFT International Financial Services Centre (GIFT IFSC) is India's first dedicated IFSC, located within GIFT City.***
- **Unique value proposition:** access to the Indian economy + global infrastructure + foreign currency transactions.

Regulatory & operational regime

- Entities in GIFT IFSC are regulated by IFSCA under the IFSCA Act and associated regulations.
- ***The "single window IT" system (SWIT)*** enables foreign/domestic financial institutions to get approvals to set up in GIFT IFSC.
- Examples of business lines: Banking Units (IBUs), Alternative Investment Funds, commodity/ bullion exchanges, asset managers, global in-house centres, fintech units.

Current status & scale

- As per IFSCA data as of June 2025: **939 registered entities in the IFSC, banking assets USD 93.85 bn+.**
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5. How They All Fit Together: Holistic Perspective

- The IFSCA Act establishes the legal and institutional architecture enabling the regulatory regime for financial services in designated IFSCs (such as GIFT IFSC).

- **IFSCA serves as the unified regulator, replacing or consolidating the functions for IFSC operations that would otherwise fall under domestic regulators like RBI, SEBI, IRDAI and PFRDA. This avoids regulatory fragmentation.**
- *IFSC is the special jurisdiction (under SEZ Act) with a tailored regulatory, infrastructural and fiscal regime aimed at global financial business.*
- Together, the framework is designed to:
 - Attract global financial services firms, capital, and talent to India.
 - **Provide a platform for foreign currency and cross-border financial services under Indian jurisdiction.**
 - Leverage India's growth story and domestic market while offering global connect.
 - Improve ease of doing business in financial services, especially in international transactions.

Integrated Overview: IFSCA, IFSC, GIFT IFSC, and GIFT City

1. Context and Rationale

- **Background:** India's financial ecosystem was largely domestically oriented, with international financial activities routed through global hubs like Singapore, Dubai, or London.
 - **Need:** To capture global financial flows, deepen capital markets, and position India as a global financial centre, the **International Financial Services Centre (IFSC)** was conceived.
 - **Key Enabler:** The **International Financial Services Centres Authority (IFSCA)** was created to regulate and develop financial services within these IFSCs — the first and only currently being **GIFT IFSC** in Gujarat.
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2. GIFT City - Concept and Vision

- **Full Form:** Gujarat International Finance Tech-City (GIFT City).
- **Location:** Between Ahmedabad and Gandhinagar, Gujarat.
- **Vision:** To create a *smart city and global financial hub competing with Dubai, Singapore, and Hong Kong.*

Key Objectives:

- Create world-class infrastructure for financial services.
- Provide onshore access to offshore financial activities (foreign currency transactions, global insurance, derivatives trading).
- Attract international banks, funds, fintechs, and capital markets.

Infrastructure:

- GIFT City is a **Special Economic Zone (SEZ)** with state-of-the-art ICT, transport, and utilities.
 - Divided into **GIFT IFSC (financial zone)** and **GIFT SEZ (non-financial zone)**.
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3. International Financial Services Centre (IFSC)**Definition (as per IFSCA Act, 2019):**

A financial centre that *offers financial services and products to non-residents and residents (to the extent permissible) in foreign currency.*

Functions:

- Allow financial institutions to deal in international markets (foreign currency lending, insurance, derivatives, fund management).
- Serve as a global gateway for Indian corporates and investors.
- Host exchanges like **India INX (BSE)** and **NSE IFSC** for global securities and derivatives trading.

Major Sectors Operated:

- Banking (foreign currency lending, deposits).
- Capital markets (listing of foreign currency bonds, ETFs).
- Insurance and reinsurance.
- Fintech and sustainable finance.

Global Comparison:

Similar to *Dubai International Financial Centre (DIFC)*, *Singapore MAS regime*, and *London City Financial District*.

4. International Financial Services Centres Authority (IFSCA)**Legal Basis:**

Established under the **International Financial Services Centres Authority Act, 2019** (enacted in December 2019; operational from April 2020).

Objective:

Unified regulator for all financial services in IFSCs — integrating powers from:

- RBI (banking)
- SEBI (capital markets)
- IRDAI (insurance)
- PFRDA (pension)

Headquarters: GIFT City, Gandhinagar.

5. Structure and Governance of IFSCA

Aspect	Details
Composition	9 Members (Chairperson + 8 members)
Appointed by	Central Government
Representation	1 each from RBI, SEBI, IRDAI, PFRDA + 2 from Finance Ministry + 2 experts
Tenure	3 years or as notified

Chairperson (as of 2025) **K. Rajaraman (IAS, succeeded Injeti Srinivas)**

6. Functions and Powers

Regulatory:

- Regulates all financial institutions and services within IFSC.
- Frame regulations for banking, securities, insurance, and pensions.

Developmental:

- Promote ease of doing business and innovation.
- Encourage fintech, sustainable finance, aircraft leasing, ship financing, and global funds.
- Coordinate with international regulators (e.g., IOSCO, BIS).

IOSCO stands for the **International Organisation of Securities Commissions**. It is the leading international policy forum for securities regulators and is recognised as the global standard setter for the securities sector.

Structure and Membership

- **Membership:** IOSCO's membership regulates more than 95% of the world's securities markets across more than 100 jurisdictions. Members are typically primary securities and/or futures regulators in a national jurisdiction.
- **Governing Body:** The IOSCO Board is the governing and standard-setting body, comprised of 35 securities regulators from various countries, including the Securities and Exchange Board of India (SEBI).
- **Headquarters:** The permanent secretariat is located in Madrid, Spain.

7. Key Initiatives and Achievements

- **FinTech Sandbox:** Allows startups to test innovative financial products.
 - **IFSC Banking Units (IBUs):** Foreign and Indian banks can operate in foreign currency (e.g., SBI, HSBC, Standard Chartered).
 - **Aircraft Leasing:** Inspired by Ireland's model — GIFT IFSC aims to be Asia's aircraft leasing hub.
 - **Fund Management Regulations, 2022:** Framework for global funds and asset managers.
 - **Green Finance and ESG Bonds:** GIFT IFSC promoting sustainability-linked instruments.
 - **Unified Single Window Clearance:** Simplified regulatory interface.- SWIT
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8. Fiscal and Regulatory Incentives

- **Tax Benefits:**
 - 10-year income tax holiday (out of 15 years).
 - No GST on services to offshore clients.
 - Exemption from stamp duty and certain securities transaction taxes.
- **Ease of Capital Flow:** Free repatriation, foreign currency transactions allowed.
- **Liberalised Environment:** FEMA, SEZ, and Companies Act provisions harmonised for global competitiveness.

Global Financial Centres (GFCs): Present Status and Emerging Trends (2025)

1. Concept and Significance

- **Definition:**

A *Global Financial Centre (GFC)* is a city or region with a high concentration of financial institutions providing **cross-border financial services**—including banking, capital markets, insurance, asset management, and fintech.
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2. Measurement and Ranking: The GFCI Index

- **Prepared by:**

Z/Yen Group and China Development Institute under the **Global Financial Centres Index (GFCI)** series.

- **Indicators Used:**
 - Over **140 quantitative parameters** (e.g., economic stability, tax environment, infrastructure).
 - **Survey-based qualitative inputs** from global finance professionals.
 - Data from institutions like the World Bank, OECD, and IMF.
- **Key Dimensions:**
 1. Business Environment
 2. Human Capital
 3. Infrastructure
 4. Financial Sector Development
 5. Reputation and General Factors

3. Top Global Financial Centres (GFCI 37 - March 2025)

Rank	Centre	Region	Highlights
1	New York	North America	Global capital markets, depth, innovation, Wall Street dominance.
2	London	Europe	Strong legal-financial ecosystem; resilience post-Brexit.
3	Hong Kong	Asia	Gateway to China; major hub for offshore RMB and securities.
4	Singapore	Asia	Wealth management and fintech hub of Asia-Pacific.
5	San Francisco	North America	Tech-finance integration; venture capital leadership.
6	Chicago	North America	Derivatives and commodities trading hub.
7	Los Angeles	North America	Increasing influence in creative and tech-linked finance.
8	Shanghai	Asia	Mainland China’s key capital market centre.
9	Shenzhen	Asia	Fintech innovation hub; home to major Chinese tech giants.
10	Seoul	Asia	Rising Asian hub with strong regulatory frameworks.

Emerging Centres:

- **Dubai (Rank ~12)** – Middle East's financial gateway.
- **Frankfurt, Tokyo, Paris, Toronto** – Strong regional hubs.
- **Busan, Casablanca, Kuala Lumpur** – Rapidly emerging due to niche strengths (fintech, Islamic finance, trade finance).

(Sources: GFCI 37 Report 2025; Caproasia 2025; Longfinance.net)

Current Global Trends (2024-2025)

A. Rise of Asia-Pacific

- Asia now houses 5 of the world's top 10 centres.
- Singapore and Hong Kong dominate wealth and fintech sectors.
- China's policy support for the *Shanghai-Shenzhen-Hong Kong* triangle is reshaping global finance.

B. Fintech and Digital Transformation

- Centres with advanced **digital infrastructure** (Singapore, San Francisco, Dubai) attract global innovation.
- Blockchain-based settlement systems and digital asset regulation emerging as differentiators.

C. Sustainable and Green Finance

- **London** and **Singapore** lead in *ESG bonds, carbon trading, and green finance frameworks*.
- Global funds now mandate sustainability disclosure and ESG benchmarks.

D. Regulatory Flexibility and Tax Efficiency

- Dubai and Singapore's *low-tax, flexible regulatory* environments drive global fund registrations.
- Balance between innovation and regulation (especially for crypto and digital assets) is crucial.

E. Human Capital and Talent Competitiveness

- Access to skilled professionals and global work environments determine long-term dominance.
- Talent migration and hybrid work models are reshaping physical concentration in cities.

F. Geopolitical Reconfiguration

- U.S.-China tensions influencing global finance flows (Hong Kong under pressure, Singapore benefiting).
- Brexit reshaped European power balance — London resilient, Paris and Frankfurt rising.

7. India's Position and Opportunity

- **Mumbai** – India's traditional financial capital (BSE, NSE, RBI HQ) but limited international integration.
 - **GIFT City - IFSC (Gandhinagar)**
 - India's **first International Financial Services Centre**, regulated by **IFSCA**.
 - Offers foreign currency transactions, offshore fund management, aircraft leasing, and fintech innovation.
 - Positioned to evolve as India's **gateway to global finance**.
 - With sustained regulatory, tax, and infrastructure reforms, can emerge as a **regional GFC** comparable to Dubai or Singapore.
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8. Outlook and Way Forward (2025-2030)

- **Shift from dominance to multipolarity:**
The era of New York-London duopoly is giving way to a multi-centre world with Asia-Pacific emerging strongly.
- **Technology-led competitiveness:**
Centres investing in digital infrastructure, cybersecurity, and fintech ecosystems will lead (e.g., Singapore, Dubai).
- **Sustainability imperative:**
Global financial flows are increasingly directed through green and ESG-compliant jurisdictions.
- **Collaborative ecosystems:**
Cross-border cooperation among GFCs on regulation (crypto, AI, data) is critical to maintain financial stability.
- **India's trajectory:**
If GIFT IFSC continues its pace of innovation, tax reforms, and global outreach, it could **join the top 30** by 2030 (currently ranked 46th in GFCI 37).

The International Financial Services Centres Authority Act, 2019 (IFSCA Act)

Objective, Scope, and Key Provisions

The **International Financial Services Centres Authority Act, 2019** was enacted by Parliament in **December 2019** to establish a **unified regulator** for India's International Financial Services Centres (IFSCs).

- **Objective:** To develop and regulate a **world-class international financial centre** in India through a **single-window regulatory framework** for cross-border financial services.
- **Enforcement:** Came into effect in **phases (April & September 2020)**; administered by the **Ministry of Finance**.

1. Establishment of IFSCA (Section 4)

- Constitutes a corporate body titled **International Financial Services Centres Authority (IFSCA)**.
- Enjoys **perpetual succession** and a **common seal**.
- **Head Office:** Located in **GIFT City, Gandhinagar (Gujarat)**, with powers to establish other offices.

2. Unified Regulatory Framework

- Transfers the powers of **RBI, SEBI, IRDAI, and PFRDA** (for IFSC activities) to IFSCA.

4. Legal and Currency Provisions

- IFSC financial transactions are to be conducted in **foreign currency** (as notified by IFSCA in consultation with the Central Government).

5. Legal Framework and Jurisdiction

- IFSCs must be established **within SEZs** under the **SEZ Act, 2005**; only **one IFSC per SEZ** is permitted.
- IFSCA exercises powers of the financial regulators for IFSC-related activities (as per the **First Schedule**).

The International Financial Services Centres Authority (IFSCA)

2. Regulatory Powers & Functions

Statutory mandate: To **regulate and develop** financial products, services, and institutions within IFSCs.

Key Powers:

- **Licensing & Regulation:** Issue authorizations for banks, exchanges, insurers, and funds.
- **Section 12(2):** Regulate any financial service or product within the IFSC.
- **Section 13:** Transfers “**all powers**” of **RBI, SEBI, IRDAI, and PFRDA** to IFSCA for IFSC-related functions.

3. Developmental Role

- Promotes growth of the IFSC ecosystem through **single-window approvals, informal guidance schemes, and global partnerships**.

4. Innovation & FinTech Focus

- **Regulatory Sandbox (2020):** FinTechs test new ideas under controlled conditions.
- **Innovation Sandbox:** Enables market institutions to experiment with data-driven solutions.
- **Objective:** Create a **global FinTech hub** at GIFT IFSC.

5. Supervisory & Adjudicatory Powers

- Can **impose penalties, cancel licenses, or issue enforcement actions.**

6. Significance

- Provides **single-window regulation** for cross-border finance.
 - Key to India's effort to **onshore the offshore financial activity** and build global credibility.
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International Financial Services Centres (IFSCs): Global Context

Concept

An IFSC is a **jurisdiction catering to international financial transactions**—primarily for non-residents or foreign currency operations.

Purpose & Functions

- **Attract international capital** and provide access to global financial services.
- **Offer liberal regulatory environments**—100% foreign ownership, tax benefits, and reduced compliance.
- **Bridge domestic and global markets**, facilitating fund-raising, trading, and financial innovation.

Global Rankings (GFCI 2024):

1. New York
 2. London
 3. Hong Kong
 4. Singapore
(CaproAsia, GFCI 2024)
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GIFT IFSC: India's First Operational IFSC

Overview

- Located within **GIFT City, Gujarat**; notified in **2015** under the SEZ Act.
- Represents India's first and only operational IFSC.

Key Features & Activities

- Comprehensive platform for **banking, insurance, capital markets, asset management, fintech, and bullion trading**.
- Hosts:
 - **3 exchanges** (e.g. India INX, International Bullion Exchange[IIBX], NSE IFSC)
 - **25 banks** (9 foreign), **26 aircraft leasing firms, 80 fund managers, 40 fintechs**.

Strategic Role

- Serves as India’s **gateway for global finance**, linking domestic and international markets.
- Supports **100% FDI, foreign currency transactions, and tax exemptions** (10-year profit holiday).
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GIFT City: Infrastructure, Ecosystem & Policy Integration

Background & Vision

- Conceived in **2007** by **PM Narendra Modi** (then CM of Gujarat).
- Designed as a **world-class finance and IT zone**.

Ecosystem & Governance

- **Single-window clearance** integrating 16 Central & State agencies.
- **Dual zones: Domestic Tariff Area & Multi-Services SEZ (IFSC)**.
- Hosts major institutions: **HSBC, IBM, Standard Chartered**, etc.

Comparative Analysis: GIFT IFSC vs Global Financial Centres

Financial Centre	Regulatory Authority	GFCI 2024 Rank	Key Incentives	Distinct Strengths
GIFT IFSC (India)	IFSCA (Unified Regulator)	46	10-yr tax holiday, 100% FDI, single-window approvals	India’s first integrated finance-tech hub; emerging market access
Singapore	Monetary Authority of Singapore (MAS)	4	17% corp. tax (as low as 5%), strong treaties	Policy stability; global fintech leader
London (UK)	PRA & FCA	2	Low capital gains tax	Deep capital markets; legal transparency

Financial Centre	Regulatory Authority	GFCI 2024 Rank	Key Incentives	Distinct Strengths
Dubai (UAE, DIFC)	DFSA	12	0% tax, 100% foreign ownership	MENA gateway; high infrastructure quality
New York (USA)	Fed, SEC, State Regulators	1	Global capital access	Largest equity & debt markets
Hong Kong	SFC & HKMA	3	Low corporate tax (16.5%), rule-of-law yuan hub	China gateway; offshore

(Sources: CaproAsia, India-Briefing, PRS India, Drishti IAS)

Union Budget & Economic Survey

- Concepts, approach, broad trends

Banking

- **I. Banking Institutions (Organised Sector)**
 - o **Scheduled Banks** (under RBI Act, 1934)- 2nd Schedule Banks
 - **Commercial Banks**: Public Sector Banks (e.g., SBI, PNB), Private Sector Banks (e.g., HDFC, ICICI), Foreign Banks.
 - **Regional Rural Banks (RRBs)**: Jointly owned by Centre, State, and sponsor bank. The ownership stakes in RRBs are divided among the **Central Government (50%)**, the **Sponsor Bank (35%)**, and the **State Government (15%)**.
 - **Cooperative Banks**: Urban and rural cooperative institutions.
 - o **Non-Scheduled Banks** (smaller, outside RBI schedule).
- **II. Non-Banking Financial Institutions (NBFIs/NBFCs)**
 - o *Development Financial Institutions (DFIs)* – e.g., NABARD, SIDBI, EXIM Bank, NHB.
 - o *Non-Banking Financial Companies (NBFCs)* – lend or invest, but cannot issue demand deposits.
 - o *Mutual Funds, Insurance Companies, Pension Funds* – mobilize savings and invest in capital markets.
- **III. Regulatory Architecture**

- o **RBI** – Monetary authority & banking regulator.
 - o **SEBI** – Capital markets regulator.
 - o **IRDAI** – Insurance regulator.
 - o **PFRDA** – Pension sector regulator.
 - o **IFSCA** – Regulator for IFSCs (e.g., GIFT IFSC).
 - o **Ministry of Finance** – Policy formulation and coordination.
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B. Key Functions of Financial Institutions

1. Financial Intermediation

- o Mobilize household savings and allocate them to productive sectors.
- o Transform short-term deposits into long-term loans.

2. Payment and Settlement System

- o Enable smooth transactions through digital and inter-bank platforms (UPI, NEFT, RTGS).

3. Credit Creation and Allocation

- o Create money via lending.
- o Direct funds to priority sectors (agriculture, MSME, housing).

4. Risk Management and Diversification

- o Offer hedging, insurance, and investment diversification services.

5. Resource Mobilization for Development

- o DFIs like NABARD, SIDBI, and EXIM Bank channel credit to agriculture, small industries, and exports.

6. Financial Inclusion

- o Expand access via Jan Dhan Yojana, PM Mudra Yojana, digital banking, and fintech innovations.

7. Capital Formation and Economic Growth

- o Facilitate capital market operations and project financing, enabling growth and employment.
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C. Recent Developments and Trends (2023-25)

- **Digital Banking Revolution:** Growth of UPI, fintech lending, and digital-only banks.
- **Consolidation of PSBs:** Rationalisation for efficiency and capitalisation.

- **Regulatory Convergence:** RBI's scale-based regulation for NBFCs, unified KYC norms.
 - **Green and Sustainable Finance:** Push toward ESG-linked lending and green bonds.
 - **Global Integration:** IFSC (GIFT City) as offshore financial hub with IFSCA as unified regulator.
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2. Functions of the Reserve Bank of India (RBI)

A. Constitutional & Institutional Role

- **Established:** 1935 under RBI Act, 1934.
 - **Ownership:** Fully owned by the Government of India (since 1949).
 - **Mandate:** To maintain monetary stability, regulate banks, manage currency, and ensure financial stability.
 - **Headquarters:** Mumbai.
 - **Governor (2025):** Sanjay Malhotra
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Monetary Authority

- **Objective:** Maintain price stability while supporting growth.
- **Instruments:**
 - **Repo / Reverse Repo Rate** – Control liquidity and credit cost.
 - **Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR)** – Manage money supply.
 - **Open Market Operations (OMOs)** – Buy/sell government securities to control liquidity.
 - **Monetary Policy Committee (MPC)** – Sets policy repo rate (flexible inflation targeting: $4\% \pm 2\%$).

Example (2024–25): RBI held repo rate at 6.5%, maintaining “withdrawal of accommodation” stance to balance growth and inflation.

2. Issuer of Currency

- Sole authority for issuing banknotes (except ₹1 note and coins issued by the Government).
- Ensures public confidence and stability in the currency system.

- o Introduced new security features and digital innovations (Digital Rupee (e-Rupee)pilot in wholesale/retail).

3. Regulator and Supervisor of the Financial System

- o Regulates and supervises commercial banks, cooperative banks, and NBFCs.
- o Ensures prudential norms (Basel III, CRAR, asset classification).
- o Oversees credit flow, transparency, and risk management.
- o **Manages Prompt Corrective Action (PCA) framework for weak banks.** The RBI's **Prompt Corrective Action (PCA)** framework is a supervisory tool used to monitor banks that show signs of financial stress. It triggers timely corrective actions, such as restricting lending and operations, to prevent a bank's financial health from deteriorating further and to protect depositors.

4. Manager of Foreign Exchange

- o Administers **Foreign Exchange Management Act (FEMA), 1999.**
- o Manages forex reserves (~USD 650+ billion, 2025).
- o Maintains exchange rate stability and promotes orderly external sector.
- o Encourages capital inflows, FDI, and external borrowings under macroprudential limits.

5. Developmental and Promotional Role

- o Promotes financial inclusion, MSME finance, and priority sector lending.
- o Supports institutions like NABARD, NHB, and SIDBI.
- o Advances financial literacy, green finance, and fintech regulation.
- o **Facilitates Payment Infrastructure (UPI, RuPay, Bharat BillPay, CBDC).**

6. Banker to the Government

- o Manages government accounts, public debt, and borrowing programs.
- o **Handles Ways and Means Advances (WMAs) for temporary mismatches.**
- o Issues and redeems government securities through *Public Debt Office (PDO)*.

7. Banker’s Bank and Lender of Last Resort

- o Holds CRR deposits and provides refinancing facilities to banks.
- o Acts as a Lender of Last Resort during liquidity crises (e.g., NBFC stress, bank runs).

8. Data, Research, and Financial Stability

- o Publishes Financial Stability Reports, Monetary Policy Reports, Handbook of Statistics.
- o Member of global regulatory forums (BIS, IMF).
- o Monitors systemic risk via Financial Stability and Development Council (FSDC).

Ways and Means Advances (WMA) are temporary loans from the Reserve Bank of India to the central and state governments to help manage short-term cash flow mismatches. This facility is a short-term credit, **typically repaid within three months**, and is designed to ensure smooth functioning by bridging the gap between receipts and expenditures.

Summary Table

Function	Key Instrument/Example	Outcome
Monetary Policy	Repo, CRR, MPC decisions	Price & growth stability
Currency Issue	Rupee, Digital Rupee	Monetary confidence
Banking Regulation	Basel norms, PCA	Financial soundness
Forex Management	FEMA, reserves	Exchange rate stability
Developmental Role	NABARD, PLI, inclusion	Long-term growth
Banker to Govt	WMAs, debt management	Fiscal discipline

3. Banking System in India — Structure and Developments

B. Structure of Indian Banking System

1. Scheduled vs Non-Scheduled Banks

- o **Scheduled Banks:** **Listed in the Second Schedule of the RBI Act, 1934;** meet capital and reserve requirements; enjoy access to RBI facilities.
 - *Commercial Banks* (Public, Private, Foreign)
 - *Cooperative Banks* (Urban & Rural)
 - *Regional Rural Banks (RRBs)*
 - o **Non-Scheduled Banks:** Do not meet criteria under RBI Act; smaller and localized.
-

2. Commercial Banks — Backbone of the System

- o **Public Sector Banks (PSBs)** – Majority owned by the Government of India.
 - Examples: SBI, PNB, Bank of Baroda.
 - **Account for ~60% of banking assets.**
 - Focus on priority sector, financial inclusion, and rural credit.
 - o **Private Sector Banks** – Efficient, tech-driven operations.
 - Examples: HDFC Bank, ICICI Bank, Axis Bank.
 - Key role in retail and digital banking innovation.
 - o **Foreign Banks** – Branches of global banks; focus on trade finance and corporate lending.
 - Examples: HSBC, Citi, Standard Chartered.
 - o **Regional Rural Banks (RRBs)** – Jointly owned by Centre, the State, and sponsor bank; rural outreach.
 - o **Cooperative Banks** – **Dual regulation by RBI and State;** serve agriculture and small borrowers.
-

3. Development Financial Institutions (DFIs)

- o Provide medium to long-term finance for industry, infrastructure, housing, and exports.
- o **Transitioned into specialised banks or NBFCs post-liberalisation.**
- o Examples: NABARD, SIDBI, EXIM Bank, NHB, NaBFID.

Development Financial Institutions (DFIs) in India — Overview of NABARD, SIDBI, EXIM Bank, NHB, and NaBFID

1. NABARD — National Bank for Agriculture and Rural Development

- **Established:** 1982 under the *NABARD Act, 1981*.
 - **Headquarters:** Mumbai.
 - **Regulator/Ownership:** Fully owned by the Government of India.
 - **Primary Role:** Apex development bank for agriculture and rural sectors.
 - **Functions:**
 - Refinancing to rural financial institutions (RRBs, co-operatives).
 - Supervision of rural credit institutions.
 - Rural infrastructure funding through **RIDF (Rural Infrastructure Development Fund)**.
 - Promotes self-help groups (SHGs), microfinance, and financial inclusion.
 - **Sectoral Focus:** Agriculture, allied activities, rural development.
-

2. SIDBI — Small Industries Development Bank of India

- **Established:** 1990 under the *SIDBI Act, 1989*.
 - **Headquarters:** Lucknow.
 - **Regulator/Ownership:** Wholly owned by the Government of India and financial institutions.
 - **Primary Role:** Apex financial institution for **MSMEs (Micro, Small & Medium Enterprises)**.
 - **Functions:**
 - Direct and indirect finance to MSMEs.
 - Developmental support — cluster development, entrepreneurship promotion.
 - Credit guarantee and risk capital support.
 - Implementing government schemes: **SMILE, CGTMSE**, etc.
 - **Sectoral Focus:** MSMEs and entrepreneurship development.
-

3. EXIM Bank — Export-Import Bank of India

- **Established:** 1982 under the *Export-Import Bank of India Act, 1981*.
- **Headquarters:** Mumbai.
- **Ownership:** 100% Government of India.

- **Primary Role:** Apex financial institution for promoting **India's international trade**.
 - **Functions:**
 - Export credit, lines of credit, buyer's credit.
 - Overseas investment finance.
 - Export-oriented project finance and export insurance support.
 - Collaboration with global DFIs and export credit agencies.
 - **Sectoral Focus:** International trade and export promotion.
-

4. NHB — National Housing Bank

- **Established:** 1988 under the *NHB Act, 1987*.
 - **Headquarters:** New Delhi.
 - **primary Role:** Apex financial institution for the **housing sector**.
 - **Functions:**
 - Refinancing housing finance companies (HFCs) and banks.
 - Regulating and promoting housing finance institutions.
 - Implementing housing-related government schemes (e.g., PMAY).
 - **Sectoral Focus:** Housing finance and real estate development.
-

5. NaBFID — National Bank for Financing Infrastructure and Development

- **Established:** 2021 under the *NaBFID Act, 2021*.
- **Headquarters:** Mumbai.
- **Ownership:** Government of India (majority) with provision for private capital participation up to 49%.
- **Primary Role:** Apex **infrastructure development bank**.
- **Functions:**
 - Financing and refinancing infrastructure projects (transport, energy, water, digital, etc.).
 - Providing long-term project loans and credit enhancement.
 - Catalyzing private investment and bond market participation.
 - Classified as a **DFI (Development Financial Institution)**.
- **Sectoral Focus:** Core and social infrastructure financing.

D. Major Developments (Post-2010 to 2025)

1. Bank Consolidation

- o 2019–20: Major PSB mergers (e.g., Bank of Baroda-Vijaya-Dena; SBI with associates).
- o Aim: Scale efficiency, better governance, and global competitiveness.

2. Financial Inclusion Drive

- o *Pradhan Mantri Jan Dhan Yojana (PMJDY)*: Over 50 crore accounts opened.
- o *Direct Benefit Transfer (DBT)* integration.
- o *Digital Payments*: UPI, AEPS, BHIM, RuPay.

3. Digital & Neo Banking

- o Rise of fintech partnerships, digital lending, AI-driven risk assessment.
- o RBI initiatives: Account Aggregator, e-KYC, Digital Rupee pilot (CBDC).

4. Banking Reforms

- o *Insolvency and Bankruptcy Code (IBC)* – faster bad loan resolution.
- o *PSB recapitalisation and governance reforms.*
- o *Asset Quality Improvement*: Gross NPAs fell from >9% (2018) to <3% (2025 est.).
- o *EASE 5.0 reforms*: Enhanced customer experience, digitization, tech adoption.

5. Emergence of Small Finance & Payment Banks

- o *Small Finance Banks*: Target underbanked (e.g., AU, Equitas).
- o *Payments Banks*: Handle small deposits, remittances (e.g., Paytm, India Post).

6. Global Integration

- o *Cross-border banking ties via IFSC (GIFT City), enabling offshore banking and fintech innovation.*

Payment Banks and Neo-Banks — Comparative Overview

1. Payments Banks

Concept:

Introduced by the **RBI in 2015**, *Payments Banks* are niche banks aimed at **deepening financial inclusion** — especially among the unbanked and low-income segments. They combine digital reach with traditional banking infrastructure.

Legal Basis:

- Governed under the **Banking Regulation Act, 1949** and licensed by **RBI**.
- Operate under the *Guidelines for Licensing of Payments Banks* (RBI, 2014).

Key Features:

- **Deposit Limit:** Can accept deposits **up to ₹2 lakh per customer** (limit revised periodically by RBI).
 - **No Lending:** Cannot issue loans or credit cards.
 - **Permitted Activities:**
 - Accept demand deposits (savings/current).
 - Issue debit cards, provide payments/remittance services.
 - Distribute financial products like insurance, mutual funds.
 - **Technology Focus:** Encourage **digital and mobile-based transactions**.
 - **CRR/SLR:** Must maintain CRR with RBI and invest minimum 75% of demand deposits in SLR-eligible government securities.
 - **Examples:** India Post Payments Bank, Paytm Payments Bank, Airtel Payments Bank, Fino Payments Bank, NSDL Payments Bank.
-

2. Neo-Banks**Concept:**

Neo-banks are **digital-only banks** — they **operate entirely online** without physical branches. Unlike payments banks, they **do not hold their own banking licence** in India but partner with licensed banks or NBFCs to offer services.

Legal Status in India:

- **Not directly regulated by RBI** as banks.
- Function under partnerships with RBI-licensed banks/NBFCs for regulated activities (deposits, lending, etc.).
- Supervised indirectly via their partner banks.

Key Features:

- **Digital-First Model:** Full-stack mobile/web-based banking interface.

- **Services Offered:** Account management, digital payments, small-ticket loans, personal finance tools, APIs for businesses.
- **Customer Segments:** Tech-savvy retail customers, freelancers, startups, and SMEs.
- **Technology Use:** AI-driven customer support, advanced analytics, open banking APIs.
- **Examples in India:** Jupiter, RazorpayX,

4. Financial Institutions in India — Roles and Functions

A. Small Industries Development Bank of India (SIDBI)

- **Establishment:** 1990 under SIDBI Act, 1989.
Objective: Promote, finance, and develop **Micro, Small & Medium Enterprises (MSMEs)**.
- **Functions:**
 - *Refinance support* to banks, NBFCs, and MFIs for MSME loans.
 - *Direct lending* to innovative and green enterprises.
 - *Developmental:* Cluster development, digital MSME platforms, credit guarantee programs.
 - *Recent focus (2024-25):* Green financing, fintech collaboration, and promoting *Start-up India Fund of Funds*.
- **Schemes:** SIDBI Make in India Soft Loan Fund (SMILE), ASPIRE Fund, and Credit Guarantee Fund Trust (CGTMSE).

The ASPIRE Fund is a fund of funds managed by the [Small Industries Development Bank of India \(SIDBI\)](#) with a corpus of ₹310 crore to invest in other Alternative Investment Funds (AIFs). The AIFs, in turn, provide equity and other forms of financing to (MSMEs), especially those in the **rural and agro-based sectors**. The fund is part of the larger ASPIRE scheme, promoted by the Ministry of Micro, Small and Medium Enterprises (MSME)

The **SIDBI Make in India Soft Loan Fund for Micro, Small & Medium Enterprises (SMILE) scheme** is a government initiative, managed by the Small Industries Development Bank of India (SIDBI), that provides soft loans (quasi-equity) and term loans to MSMEs for new projects, expansion, modernization, and technology upgrades.

B. Export-Import Bank of India (EXIM Bank)

- **Establishment:** 1982 under the Export-Import Bank of India Act.
 - **Objective:** Promote India's international trade and project exports.
 - **Functions:**
 - *Pre-shipment and post-shipment credit* for exporters.
 - *Overseas investment financing* (Lines of Credit, Buyer's Credit).
 - *Export insurance and guarantee programs in coordination with ECGC.*
 - *Project exports:* Support Indian firms executing infrastructure and manufacturing projects abroad.
 - *Recent Initiatives:* Supporting Indian companies in Africa and Central Asia, financing under *Make in India for the World.*
 - **Significance:** Strengthens India's trade competitiveness and South-South cooperation.
-

C. National Bank for Agriculture and Rural Development (NABARD)

- **Establishment:** 1982 (via NABARD Act, 1981) based on recommendations of the **B.Sivaraman Committee.**
 - **Objective:** Apex body for **agriculture and rural development finance.**
 - **Functions:**
 - *Refinancing:* Provides credit to cooperatives, RRBs, and commercial banks for agriculture and rural development.
 - *Developmental:* Supports watershed management, rural infrastructure (RIDF), skill and livelihood projects.
 - *Supervisory:* Monitors cooperative and RRB functioning.
 - *Recent Focus:* Climate-resilient agriculture, Agri-tech, and digital rural credit (NABARD AgriStack).
 - **Schemes:** Rural Infrastructure Development Fund (RIDF), NABARD Infrastructure Development Assistance (NIDA), Tribal Development Fund.
-

D. National Housing Bank (NHB)

- **Objective:** Promote and regulate **housing finance institutions** and expand housing credit.
- **Functions:**
 - *Refinancing:* Provides finance to HFCs, banks for housing loans.
 - *Regulatory:* Oversees housing finance companies (transferred to RBI in 2019 for prudential oversight).

- o *Developmental*: Promotes affordable housing and supports PMAY (Pradhan Mantri Awas Yojana).
- o *Recent Focus*: Green housing, bond market access for HFCs, digital mortgage ecosystem.

E. National Bank for Financing Infrastructure and Development (NaBFID)

- **Establishment**: 2021 under the NaBFID Act, 2021 (as a Development Finance Institution).
- **Ownership**: Government-promoted, professionally managed DFI.
- **Objective**: Provide long-term financing for **infrastructure projects** across sectors (roads, power, water, transport, digital).
- **Functions**:
 - o *Lending*: Long-term finance and guarantees for infrastructure projects.
 - o *Market Development*: Catalyse bond markets, infrastructure trusts (InvITs, REITs).
 - o *Capacity Building*: Technical assistance to project developers.
 - o *Recent Initiatives (2024-25)*:
 - ₹10,000 crore equity base; ₹1 lakh crore lending target in 3 years.
 - Partnerships with multilateral DFIs (ADB, AIIB) and green finance frameworks.
- **Significance**: Central to India’s **National Infrastructure Pipeline (NIP)** and 5-trillion-economy vision.

F. Comparative Overview of India’s 5 financial Institutions

Institution	Year	Sector	Core Function	Recent Focus
1. SIDBI	1990	MSMEs	Refinance & development of small industries	Green MSME & start-up finance
2. EXIM Bank	1982	Trade	Export finance & overseas investment	Project exports & Africa-Asia lines
3. NABARD	1982	Agriculture & Rural	Refinance, rural infrastructure	Climate-smart agriculture, agri-tech

Institution	Year	Sector	Core Function	Recent Focus
4. NHB	1988	Housing	Promote housing finance institutions	Affordable & green housing
5. NaBFID	2021	Infrastructure	Long-term infra finance	Green bonds, PPP infra projects

G. Synthesis and Contemporary Relevance

- Together, these **DFIs bridge the market gap** for long-term and priority finance sectors (MSME, rural, housing, infra).
- They complement RBI's monetary policy by channeling **targeted developmental credit**.
- Current priorities (2023–25):
 - Strengthening green finance and ESG lending.
 - Encouraging bond market participation and risk diversification.
 - Leveraging digital tools for inclusion and transparency.
 - Aligning with national programs — *Atmanirbhar Bharat, Gati Shakti, PMAY, Make in India*.

5. Recent Developments in the Global Financial System and Its Impact on Indian Financial System

Concept & Context

- The global financial system is evolving under three major forces: **geopolitical tensions, digital transformation (payments, CBDCs, fintech), and institutional/market reforms (e.g., inclusion of sovereign bonds, new liquidity buffers)**.

Sovereign bonds are debt instruments issued by national governments to raise funds for public expenditures, infrastructure projects, or to manage national debt. When an investor buys a sovereign bond, they are effectively lending money to the government in exchange for regular interest payments and the return of the principal upon the bond's maturity.

Key Global Developments

1. Inclusion of India in global bond indices

- For example, the inclusion of Indian sovereign debt in the J.P. Morgan benchmark ("EM Bond Index") expected billions of dollars of inflows.
- Implication: increased foreign portfolio flows, but also greater exposure to global "hot money" volatility and sudden stops.

2. Geopolitical fragmentation & external spillovers

- o Trade conflicts, sanctions, and regional payment-system alternatives are creating shifts away from traditional global structures.
- o India's financial system remains resilient but the central bank flags external spillover risks (e.g., global growth slowdown, trade disruptions) as important.

Impact on Indian Financial System

- **Payment and settlement systems:** India's rapid digital payments infrastructure becomes globally competitive; cross-border payment participation could boost rupee internationalisation, but also exposes Indian systems to global cyber and settlement risks.
- **Banking & financial stability:** While Indian banks are in relatively good shape (GNPA ~2.3% as of Mar 31 2025) [Business Standard](#) global stress-spill overs could still push asset quality pressures, especially in NBFCs and sectors with external vulnerabilities.
- **Strategic opportunity:** As many countries seek alternative financial hubs and payment systems, India has a chance to strengthen its position (e.g., via the IFSC at GIFT City) and capture more global financial flows.

6. Role of Information Technology in Banking and Finance

Concept & Framework

- IT has three broad roles: (i) **Access & inclusion**, (ii) **Efficiency & cost reduction**, (iii) **Innovation & new business models**.

Key Technological Developments & Applications

1. Digital payments and real-time settlement

- o Platforms like UPI, IMPS, NEFT, RTGS have revolutionised retail and merchant payments in India.

2. AI/ML in banking & finance

- o Use cases: credit scoring using alternative data, fraud detection, Robo-advisory, algorithmic trading.
- o Improves accuracy, speeds decisions, and enables micro-segmentation of customers.

3. Blockchain / Distributed Ledger Technology (DLT)

- o Used for trade finance, cross-border payments, smart contracts, asset tokenisation. For India, experimentation with blockchain is underway.

4. Fintech platforms, open banking & APIs

- o Enables new entrants (neobanks), micro-loans, peer-to-peer lending.
- o The term “neo-bank” (also called “challenger bank” or “digital-only bank”) refers to a digital-first financial company that offers banking-type services through apps/web but **often does not have its own full banking licence or physical branches**

Impact on Banking & Finance in India

- **Financial inclusion:** IT enables access to banking services in remote areas; Jan Dhan + Aadhaar + mobile/IT (“JAM trinity”) is a game-changer.
- **Cost efficiencies:** Fewer branches needed, greater automation; banks save operational costs and extend services.
- **Customer experience:** 24×7 access, mobile banking, personalized services, faster onboarding.
- **Risk management:** Better data, real-time monitoring, predictive analytics enable improved control of credit and operational risks.
- **New business models:** Neobanks, digital lenders, wealth tech, and insurtech are growing.
- **Digital economy enablement:** Supports e-commerce, digital government payments (DBT), supply-chain finance.
- **Regulatory compliance & data analytics:** Banks harness big data and analytics to meet Know-Your-Customer (KYC), Anti-Money-Laundering (AML) and regulatory reporting requirements.

7. Non-Banking System

The *non-banking system* includes financial institutions that do not hold full banking licences (i.e., cannot accept demand deposits) but engage in credit, investment, leasing, hire-purchase, microfinance, and housing finance. In India, the key players are **Non-Banking Financial Companies (NBFCs)** and **Housing Finance Companies (HFCs)** regulated by the **Reserve Bank of India (RBI)**.

Significance:

- Provide credit to underserved segments such as MSMEs, housing, and rural borrowers.
- Act as alternative financial intermediaries, deepening financial inclusion.
- Diversify credit markets, supplementing banks and enhancing competition.

B. Structure of Non-Banking Financial Institutions (NBFCs/HFCs) in India

Regulatory Structure:

- **NBFCs:** Registered under the *Companies Act*, regulated by the *RBI Act*.
- **HFCs:** Formerly under *National Housing Bank (NHB)*, now largely under RBI regulation post-harmonisation.

Classification (Scale-Based Regulatory Framework):

1. **Base Layer:** Small NBFCs.
2. **Middle Layer:** Systemically important NBFCs.
3. **Upper Layer:** Large, systemically significant NBFCs.
4. **Top Layer:** Reserved for very large or high-risk NBFCs (if needed).

Funding:

NBFCs rely on borrowings — commercial papers, bonds, and bank loans — rather than demand deposits (except for a few deposit-taking NBFCs). **Key Indicators (as of March 2024):**

- **CRAR:** ~26.6% (well above minimum).
 - **GNPA:** ~4.0%, showing improved asset quality.
-

C. Recent Developments in Non-Banking System

2. Regulatory Strengthening

- **Scale-Based Regulation (2022):** Risk-based oversight proportional to size.
- Enhanced disclosure norms for NBFCs and HFCs — recovery performance, asset valuation, governance transparency.
- RBI's focus on credit risk, governance, and digital lending standards.

3. Sectoral New Entrants

- Establishment of specialised NBFCs like *Sagarmala Finance Corporation Limited* for maritime and infrastructure financing.

4. Asset Quality & Risk Profile

- **Stable GNPA (~4%) and robust CRAR (~26%).**
 - Challenges from rising funding costs, competition from banks, and digital lenders.
-

D. Implications & Challenges

Implications

- NBFCs extend credit access to sectors underserved by banks.
- Diversify and strengthen the overall financial system.
- Recent regulatory reforms improve governance and stability.

8. Developments in Digital Payments

A. Concept & Importance

Digital payments are electronic fund transfers through platforms such as UPI, cards, mobile wallets, internet banking, and QR-code systems.

Importance:

- Promotes **financial inclusion** and reduces dependence on cash.
 - Improves **efficiency, transparency, and cost-effectiveness** of transactions.
 - Enables **new business models** and supports fintech innovation.
 - Facilitates **direct government transfers (DBT)** and digital economy expansion.
-

B. Recent Developments in India

1. Massive Growth of UPI and Real-Time Payments

- UPI transactions rose from ~**92 crore (FY2017-18)** to **13,116 crore (FY2023-24)** (CAGR ~129%).
- UPI now accounts for ~**83% of total digital payment volumes**.

2. Growth Projections & Scale

- Digital payment transactions projected to grow from **159 billion (FY2023-24)** to **481 billion (FY2028-29)**; value from ₹265 trillion to ₹593 trillion.

3. Expansion Beyond Metros

- Sharp rise in **QR-code usage** in Tier 2-4 cities.
- Merchant acceptance networks widening rapidly.
- Mobile payments (1H 2024): **76.04 billion transactions**, +46% YoY.

4. Internationalisation

- **UPI and RuPay** expanding abroad (UAE, Singapore, Nepal).

- Participation in **BIS Project Nexus** for global cross-border payment interoperability.

5. Technology & Innovation

- Use of **AI/ML** for fraud detection and personalisation.
 - Emerging tools: **biometric**, **voice-based**, and **wearable** payment solutions.
-

Challenges

- Persistent **digital divide** and cash dependence in rural areas.
- Rising **cybersecurity and fraud vulnerabilities**.
- Need for **adaptive regulation** to match fintech innovation.
- **Data privacy**, consumer protection, and **infrastructure** bottlenecks remain critical issues.

1. Banking Sector: Structure and Recent Developments

Scheduled Commercial Banks (SCBs) (as of late 2025):

- **12 Public Sector Banks** (including SBI and 11 nationalised banks)

In addition, India has:

- **Development Banks** and **All-India Financial Institutions (AIFIs)** supporting sectoral financing

Scheduled banks hold over **60% of total banking assets**, while NBFCs and AIFIs contribute significantly to the rest of financial intermediation.

B. Key Performance Indicators

- **Asset Quality:** GNPA ratio improved to **~2.5% (Sep 2024)**,
 - **Profitability:** Bank profits rose on higher growth, recoveries, and improved credit quality.
 - **Capital Adequacy:** Banks maintain robust CRAR under Basel III norms.
-

C. Recent Policy and Structural Initiatives

- **Repo Rate:** RBI cut the policy repo rate to **5.50% (June 2025)** to stimulate growth.
-

2. Structure and Functions of Financial Institutions

A. Institutional Composition

The Indian financial system includes **banks, NBFCs, AIFIs, cooperatives, mutual funds, insurance companies, and pension funds.**

- **NBFCs:** Over **9,300 registered** with RBI (asset financiers, MFIs, housing finance, etc.)
- **AIFIs:** Provide long-term project and industrial finance
- **Cooperatives:** Offer rural/agricultural and small business finance

B. Key Classifications

Category	Description	Features
Scheduled Banks	Listed in RBI Schedule II	Access to deposit insurance, clearing system
Non-Scheduled Banks	Not in Schedule II	Limited privileges, smaller scale
NBFCs	Non-deposit-taking lenders	Provide loans, leasing, hire-purchase, asset finance
Cooperative Banks	Rural & Urban tiers	Serve agriculture, small business, housing

Functions:
Mobilising savings, allocating credit, facilitating payments, risk management, and promoting inclusion.

Supervision:
RBI's **Board for Financial Supervision (BFS)** oversees banks, NBFCs, and financial intermediaries under an integrated framework.

B. Monetary Policy & Regulation

- **Repo Rate (2025):** Reduced to **5.50%** to stimulate growth.
- **Inflation Targeting:** RBI follows a flexible inflation targeting framework.
- **NBFC Regulation:** Post-2019, RBI regulates **Housing Finance Companies (HFCs)** after transfer from NHB.
- **Supervision:** Continuous monitoring of solvency, liquidity, and governance of financial institutions.

C. Digital Finance & Innovation

- **CBDC Pilot (Digital Rupee):** Retail trials launched in **Dec 2022** for a secure, sovereign digital currency.
- **UPI Advancements:** Features like **UPI HELP**, **IoT Payments**, and **Credit-Linked UPI** introduced.
- **Innovation Infrastructure:** Establishment of **RBI Innovation Hub** and **ReBIT** to promote fintech and cybersecurity.

Framework for Responsible AI (FREE-AI): The RBI released a committee report in August 2025 outlining a framework for the ethical and responsible adoption of Artificial Intelligence (AI) in the financial sector. It is guided by seven principles (sutras) including trust, people-first, and innovation, and recommends establishing an AI Innovation Sandbox

6. Technology and Innovation in Banking

A. Core Banking & Digital Platforms

- Nearly all banks now operate on **Core Banking Systems** enabling real-time nationwide access.
- **UPI, IMPS, NEFT**, and **RuPay** form the backbone of India's digital payment ecosystem.

B. Fintech Ecosystem

- India has **2,000+ fintech firms**, the **third-largest ecosystem globally**.
- Collaboration between banks and fintechs in digital lending, wealth-tech, and insurtech.
- **Account Aggregator** framework enables secure financial data-sharing.

C. Cybersecurity

- Focus on encryption, fraud detection, and incident response.

D. Innovation Initiatives

- **RBI Innovation Hub** and **Regulatory Sandbox** facilitate AI, blockchain, and cloud banking pilots.
 - Integration with **Aadhaar, e-KYC, and DigiLocker** enables seamless digital onboarding.
 - Banks increasingly deploy **AI chatbots** and **blockchain trade finance solutions**.
-

7. Non-Banking Finance: NBFCs, HFCs, and Cooperatives

A. NBFCs

- Around **9,300 NBFCs** registered with RBI; subset permitted to take deposits (NBFC-D).
- Focus areas: **microfinance, infrastructure, housing, vehicle finance.**
- Post-IL&FS crisis, RBI tightened liquidity and risk-provisioning norms.
- **D-SIB NBFCs** designated for stricter supervision due to systemic importance.

B. Housing Finance Companies (HFCs)

- Now regulated by RBI (since 2019).
- Provide housing and affordable loans; sector is undergoing consolidation and recapitalisation.
- **NHB** continues to provide refinance and policy guidance.

C. Cooperative Institutions

- **34,000+ PACS, 351 DCCBs, and 34 State Co-op Banks** serve rural credit needs.
- Joint supervision by **RBI and NABARD.**
- Challenges: governance issues, low capital adequacy.

D. Other Non-Bank Institutions

- Include **MFIs, chit funds, micro NBFCs**, and non-deposit-taking lenders.
- Insurance, mutual funds, and pensions — regulated by **IRDAI, SEBI, and PFRDA** — form part of the broader non-bank ecosystem.

8. Digital Payments and Payment Innovations

A. UPI and Mobile Payments

- Total digital payments value: **₹223 lakh crore (Jan-Nov 2024).**
- UPI alone processed **15,547 crore transactions** in FY2024–25.
- Cross-border UPI transactions surged from **37,000 (FY2024) to 7.55 lakh (FY2025).**
- Mobile wallets (PPIs) and e-KYC-based payments deepen inclusion.

B. Central Bank Digital Currency (CBDC)

- **Digital Rupee (e₹)** retail pilot launched in **Dec 2022.**
- Aims for secure, accessible digital currency integrated with banks and merchants.

C. Cross-Border and Policy Framework

- UPI linkages expanding to **Sri Lanka, UAE, Bhutan** and others.
- **Payment and Settlement Systems Act (2007)** provides legal basis.
- **Payment Infrastructure Development Fund (PIDF)** supports rural POS infrastructure.

D. Wallets and Emerging Platforms

- Wallets (e.g., Paytm, PhonePe) operate under RBI’s **PPI framework** with **KYC and transaction limits**.
- Integration of **Visa, Mastercard, and RuPay** enhances interoperability.
- Fintechs leverage payments for e-commerce and rural empowerment.
- **Prepaid Payment Instruments (PPIs)** are **digital instruments** that store money in advance and are used to **make payments for goods, services, or fund transfers**. They function like digital wallets, gift cards, or prepaid cards — value is preloaded, and users spend until the balance is exhausted.
- **Regulator: Reserve Bank of India (RBI)**

4. Usage Limits

- **Minimum KYC PPI:**
 - Max outstanding balance: ₹10,000.
 - Reloadable, but cumulative reloads per month capped at ₹10,000.
- **Full KYC PPI:**
 - Max outstanding balance: ₹2 lakh.

6. Examples by Type

Category	Example
Closed	Ola Money, Flipkart Gift Card
Semi-Closed	Paytm Wallet, PhonePe Wallet, Amazon Pay
Open	SBI Prepaid Card, HDFC Forex Card

Capital Market

Indian Financial System: Regulatory Bodies and Market Structure

A. Key Regulatory Bodies in India and Their Mandates

1. Securities and Exchange Board of India (SEBI)

- **Established:** 1992 under the *SEBI Act, 1992*.
 - **Mandate:** Regulate and develop the securities market, protect investors, and promote transparency.
 - **Key Functions:**
 - Regulates **stock exchanges and intermediaries** (brokers, merchant bankers, mutual funds).
 - Conducts **market surveillance and investigations** into insider trading and manipulation.
 - Promotes **market development** (e.g., REITs, InvITs, corporate bonds).
 - Oversees **primary market** (issuances), **secondary market** (trading), and **disclosures**.
 - Leads **investor education** and ensures technological advancement of market systems.
-

4. Other Bodies

- **Ministry of Finance:** Oversees financial policy and legislation.
- **Self-Regulatory Organisations & Market Institutions:** Stock exchanges (NSE, BSE), depositories (NSDL, CDSL).

1. NSDL (National Securities Depository Limited)

- **Established:** 1996 (India's first depository).
 - **Promoted by:** NSE, IDBI Bank, UTI.
 - **Function:** Holds securities (shares, bonds, ETFs, etc.) in **electronic (demat) form** and enables seamless **transfer, settlement, and pledge** of securities.
 - **Depository Participants (DPs):** Intermediaries (like brokers/banks) through which investors access NSDI
-

2. CDSL (Central Depository Services (India) Limited)

- **Established:** 1999.
- **Promoted by:** BSE (Bombay Stock Exchange).
- **Function:** Same as NSDL — provides **dematerialisation, transfer, and settlement** of securities in electronic form.

2. Primary and Secondary Markets: Money, Bond, Equity, Forex

A. Money Market

- Market for short-term funds (≤ 1 year) to manage liquidity for banks and corporates.

Instrument	Issuer	Purpose	Typical Maturity / Duration	Key Features
Treasury Bills (T-Bills)	Government of India	Short-term borrowing to meet liquidity needs	91 days, 182 days, 364 days	Issued at discount, redeemed at face value; zero-coupon; free.
Commercial Papers (CPs)	Corporations, financial institutions	Short-term working capital requirement	7 days to 1 year	Unsecured promissory note issued at discount; higher yield than T-Bills.
Certificates of Deposit (CDs)	Banks and select financial institutions	To raise short-term funds from corporates/individuals	7 days to 1 year (banks); up to 3 years (FIs)	Negotiable, tradable, issued in demat or physical form.
Repos / Reverse Repos	RBI, banks, financial institutions	Collateralised short-term borrowing/lending	Overnight to 14 days (commonly)	Borrower sells securities with agreement to repurchase as part of monetary policy.
Call/Notice Money	Banks and primary dealers	Manage short-term liquidity between institutions	Call Money: 1 day (overnight); Notice Money: 2-14 days	Unsecured interbank lending; highly liquid; rate reflects market liquidity.

B. Bond (Debt) Market

Functions & Purpose:

- Provides medium-to-long-term funding for governments and corporates.
- Enables price discovery, risk diversification, and liquidity.

Key Instruments:

- Government Securities (G-Secs)
- Corporate Bonds / NCDs
- Municipal & Infrastructure Bonds
- Green Bonds

Market Segments:

- Primary Market:** New issues (sovereign or corporate).
- Secondary Market:** Trading of existing bonds for liquidity and valuation.

Recent Developments:

- SEBI launched “**Bond Central**” for transparency and retail access
- **Relaxed foreign investor norms** for government bonds (*Reuters*).
- **Shift to debt market financing** for infrastructure and corporates.

C. Equity Market

Functions & Purpose:

- Facilitates **capital raising, ownership transfer, and liquidity**.
- Reflects corporate performance and investor sentiment.

Key Instruments:

- **Equity Shares, Preference Shares**
- **Derivatives (Futures & Options)**
- **Exchange-Traded Funds (ETFs)**
- **IPOs, FPOs, Rights Issues, Bonus Shares**

Market Segments:

- **Primary Market:** IPOs/FPOs for fresh capital.
- **Secondary Market:** Trading on NSE/BSE for liquidity.

Recent Developments:

- Strong IPO momentum and FPI inflows (*Times of India*).
- SEBI reforms: e-IPO, ESG disclosures, retail participation
- Rise in **algorithmic trading** and inclusion in **global indices**.

Significance:

- Key for **capital formation, wealth creation, and economic growth**.
 - Enhances corporate transparency and investor participation.
-

D. Forex (Foreign Exchange) Market

Functions & Purpose:

- Facilitates currency trading (spot, forwards, swaps).
- Supports **international trade, capital flows, and exchange rate management**.

Key Instruments:

- Spot Trades
- Forward Contracts
- Currency Swaps

- Cross-Currency Derivatives

Recent Developments:

- **RBI interventions** to stabilise the rupee and manage reserves.
- Push for **rupee internationalisation** and **cross-border fintech payments**.
- Global volatility affecting **FPI flows** and **market sentiment**.

Significance:

- Influences **foreign investor returns, equity valuations, and bond yields**.
- Essential for **hedging exchange risks** of globally exposed firms.

E. Comparative Summary of Market Segments

Market Segment	Maturity / Horizon	Main Instruments	Key Function	Recent Focus in India
Money Market	Short-term (<1 year)	T-Bills, CPs, CDs, Repos	Liquidity & policy transmission	Liquidity management, call money market stress
Bond Market	Medium to long-term	G-Secs, Corporate Bonds	Long-term funding, risk allocation	Corporate bond deepening, retail access, foreign participation
Equity Market	Long-term	Shares, Derivatives, IPOs	Capital formation, ownership, returns	IPO boom, retail investor surge, ESG reforms
Forex Market	Variable (spot to long)	Spot, Forwards, Swaps	Currency stability, trade/capital flows	Rupee internationalisation, FX volatility management

- **Spot Trades:**
Buying or selling a currency **right now**, with payment and delivery happening in **two days**.
Example: A company pays in USD today for imported goods.
- **Forward Contracts:**
A deal made **today for a future date**, locking the exchange rate in advance to avoid future price changes.
Example: An exporter fixes a USD-INR rate now for payment coming after 3 months.

- **Currency Swaps:**
Two parties **exchange money in different currencies** and agree to switch it back later. It's used to **manage long-term currency or interest rate risks**.
Example: An Indian company and a US company swap rupees and dollars for their loan payments.
- **Cross-Currency Derivatives:**
Contracts involving **two foreign currencies** (not the Indian rupee), used by global firms to **protect against exchange rate changes** between those currencies.
Example: A Japanese firm hedging between the **euro and US dollar**

3. Basics of Derivatives: Forwards, Futures, Swaps

A. Concept and Rationale

- **Definition:** A derivative is a financial contract whose value is derived from an underlying asset such as a **commodity, currency, interest rate, equity, or index**.
 - **Core Functions:**
 - **Hedging:** Reduces risk by locking in future prices or rates.
 - **Speculation:** Enables traders to profit from expected price movements.
 - **Arbitrage:** Exploits price differences across markets for low-risk profit.
 - **Participants:** Hedgers (producers, corporates), Speculators (traders), and Arbitrageurs (market-neutral profit seekers).
-

B. Forwards, Futures, and Swaps - Key Features

1. Forward Contracts

- **Meaning:** Private, **customized OTC agreements** to buy or sell an asset at a specific future date and price.
- **Features:**
 - Custom-tailored terms (quantity, price, maturity).
 - **Higher counterparty risk (no clearinghouse).**
 - Settlement on maturity (delivery or cash).

2. Futures Contracts

- **Meaning:** Standardized exchange-traded contracts to buy/sell an asset at a future date and price.
-

- **Features:**
 - Traded on exchanges (MCX, NSE, BSE).
 - **Central clearing reduces default risk.**
 - **Daily mark-to-market (MTM) settlement via margins.**

3. Swap Contracts

- Meaning: **OTC contracts** where two parties exchange future cash flows based on predetermined terms.
 - **Types:**
 - **Interest Rate Swap (IRS):** Exchange fixed vs. floating interest payments.
 - **Currency Swap:** Exchange cash flows in different currencies.
 - **Commodity Swap:** Exchange payments linked to commodity prices.
 - **Use:** Long-term exposure management (interest rate or forex risk).
-

D. Indian Context and Recent Developments

- India's derivatives markets have expanded across **equity, commodity, and currency** segments.
 - **Commodity Derivatives:** Gold, silver, crude oil, and base metals actively traded on **MCX** and **NCDEX**.
 - **Currency & Interest Rate Derivatives:** Regulated under **RBI** and **FEMA** guidelines.
 - **Recent Development (2025):** RBI permitted **bond forwards** to strengthen long-term hedging options for investors.
- NOTE-** Regulatory oversight: **SEBI** (for securities/commodities) and **RBI** (for currency/interest-rate derivatives).

Commodity Exchanges in India (Brief Overview)

- **MCX (Multi Commodity Exchange of India Ltd.)**
 - Established: 2003, Mumbai, Regulator: SEBI
 - **Focus:** Mainly metals (gold, silver, copper), energy (crude oil, natural gas), and some agri commodities.
 - **Significance:** India's largest and among the top global commodity derivatives exchanges by trading volume.

- **NCDEX (National Commodity & Derivatives Exchange Ltd.)**
 - Established: 2003, Mumbai, Regulator: SEBI
 - **Focus:** Farm commodities like wheat, chana, guar seed, soybean, jeera,
 - **Objective:** Improve price discovery and risk management for farmers and traders; supports warehousing and delivery-based contracts.

Key Difference:

- **MCX → Non-agricultural (metals, energy)**
- **NCDEX → Agricultural (grains, pulses, spices)**

4. Spot and Derivative Markets of Precious Metals

A. Concept and Market Structure

1. Spot Market

- Immediate trade and delivery of metals (gold, silver, platinum).
- **Participants:** Importers, refiners, jewellers, bullion dealers.
- **Purpose:** Physical delivery, price reference, and inventory management.
- **Example:** Domestic gold prices mirror international bullion prices plus import premiums.

2. Derivative Market

- Enables futures, options, forwards, and swaps on metals for hedging or speculative trading.
 - **Major Indian Exchange:** Multi-Commodity Exchange (MCX) — trades in gold and silver futures/options.
 - Contracts may be **cash-settled** or **physically deliverable** depending on specifications.
-

C. Recent Developments in India

- India's **precious metal derivatives market** valued around **USD 300+ billion**, reflecting growing investor participation.
- Increased use of **gold/silver futures** as inflation and currency volatility hedges.
- **Rising digital gold and gold ETF investments** as substitutes for physical holdings.
- SEBI has enhanced **transparency, contract standardization**, and delivery infrastructure in commodity derivatives.

D. Functions and Linkages

- **Hedging:** Importers and jewellers lock in future costs to manage input-price risk.
 - **Speculation:** Traders profit from expected metal price trends.
 - **Price Discovery:** Futures indicate expected market price trends; influence spot markets.
 - **Liquidity & Risk Transfer:** Derivatives allow redistribution of price risk among market participants.
 - **Spot-Derivative Linkage:** Spot market reflects physical demand; derivative market reflects future expectations—together enhancing efficiency and stability.
-

Capital Market in India - A Comprehensive Overview1. Structure and Role of the Indian Capital Market

- **Definition & Composition:**

India's capital market encompasses both **equity markets** (stocks, IPOs) and **debt markets** (government and corporate bonds). It channels household and institutional savings into productive investments, supporting long-term economic growth.

 - **Size:** Market revenues (equity + FICC) grew from **USD 3.5B in FY2023 to USD 4.1B in FY2024** (Crisil/Greenwich).
 - **Market Cap:** Equity market capitalization reached **USD 3.5 trillion in 2024**, making India among the **top five global markets**.
- **Core Functions:**
 - **Mobilisation of Savings:** Converts idle savings into long-term investments.
 - **Financing & Capital Formation:** Provides funds for companies and governments.
 - **Liquidity & Price Discovery:** Facilitates transparent trading on **BSE, NSE**, allowing investors to easily enter/exit.
 - **Risk Transfer:** Through derivatives and diversified products.
- **Components:**
 - **Primary Market:** New issues (IPOs, bonds, debentures).
 - **Secondary Market:** Trading of existing securities.
 - **Segments:** Equity, Debt (G-Secs, corporate bonds), Mutual Funds, ETFs.

- o **G-Secs:** RBI-managed issuance of T-bills, dated securities, and state loans.
- o **Corporate Bonds:** Finance private and public corporations via debentures, NCDs, and CPs.

2. Key Financial Regulators and Coordination Mechanisms

Regulator	Act & Year	Jurisdiction	Major Functions	Recent Initiatives
SEBI	SEBI Act, 1992	Securities & commodity markets	Protect investors, regulate exchanges, ensure disclosure & fair trading	T+1 settlement, ESG/ BRSR norms, Social Stock Exchange, stricter IPO rules
RBI	RBI Act, 1934	Monetary & banking system	Monetary policy, supervise banks/NBFCs, manage currency, FX, payments	UPI & e-Rupee pilots, Basel III, liquidity facilities (SDF), improved supervision
IRDAI	IRDA Act, 1999	Insurance & reinsurance	Protect policyholders, license insurers, enforce solvency norms	Risk-based capital (RBC), insurtech sandbox , bancassurance norms
PFRDA	PFRDA Act, 2013	Pension funds	Regulate NPS/APY, ensure fund safety, expand pension coverage	Auto-enrolment, new fund manager norms, portability reforms
IFSCA	IFSCA Act, 2019	IFSC entities (GIFT City)	Unified regulation for global banking, capital, insurance, funds	IIBX launch, sandbox programs, international product listings

- **Coordination:**
 - o **FSDC (Financial Stability and Development Council)** chaired by the Finance Minister ensures policy coherence, systemic stability, and cross-sector coordination among regulators.

Bancassurance — Overview (Concise)
 Bancassurance is the **distribution of insurance products through banks**. Banks act as intermediaries for selling **life, health, and general insurance policies** to their customers.
 (“Bank” + “Insurance” = Bancassurance)

Reinsurance — Concise Overview
 Reinsurance is **insurance for insurance companies** — a system where an

insurer transfers part of its **risk portfolio** to another insurance company (the **reinsurer**) to reduce potential losses from large claims.

3. Major Segments of Indian Financial Markets

A. Foreign Exchange (Forex) Market

- **Regulator:** RBI under **FEMA, 1999**.
 - **Participants:** AD banks, exporters/importers, corporates, FPIs, NRIs.
 - **Instruments:** Spot, Forward contracts, NDFs, Currency futures, Options, Swaps.
 - **Recent Development:**
 - *Sep 2025:* RBI allowed **standalone primary dealers** to trade **rupee NDFs offshore** (Economic Times).
 - Residents can hedge exposures up to **USD 100,000** via deliverable forwards without documentation.
 - **Exchanges:** NSE/BSE offer **currency futures** in USD/INR, EUR/INR, GBP/INR, JPY/INR.
-

B. Money Market

- **Definition:** Short-term funds market (maturity ≤ 1 year).
- **Instruments:** Treasury Bills (91/182/364-day), CPs, CDs, Call money, Repos, CBLO/TREPS.
- **Regulator:** RBI (manages liquidity via LAF, MSF, repo/reverse repo).

MSF, or Marginal Standing Facility, is a window provided by the Reserve Bank of India (RBI) for banks to borrow overnight funds at a **higher interest rate than the repo rate(+0.25%)**. It helps banks maintain liquidity and meet their short-term funding requirements in times of financial stress.

- **Infrastructure:**
 - **NDS-OM:** RBI's electronic platform for T-bill/G-Sec trades.
 - **CCIL:** Central counterparty for settlement.
-

C. Bond (Debt) Market

- **Composition:**
 - **Government Bonds:** Central and State loans via RBI auctions.
 - **Corporate Bonds:** Public issues (SEBI-regulated) and private placements.

- **Participants:** Banks, PDs, Insurance/Pension Funds, MFs, FPIs.
- **Market Size:** ₹53.6 lakh crore (~USD 627B) corporate bonds outstanding by March 2025 Infrastructure: NDS-OM, CCIL (clearing).
- **Regulatory Division:**
 - RBI: G-Secs and bank investment rules.
 - SEBI: Listed corporate bonds, MFs, disclosure norms.
- **NDS-OM (Negotiated Dealing System - Order Matching):**
 - **Operated by:** Reserve Bank of India (RBI)
 - **Function:** RBI's electronic, anonymous trading platform for Government Securities (G-Secs), Treasury Bills (T-Bills), and State Development Loans (SDLs).
- **CCIL (Clearing Corporation of India Ltd.):**
 - **Role:** Acts as the central counterparty for clearing and settlement of trades done on NDS-OM and other RBI platforms.
 - **Functions:**
 - Guarantees settlement (mitigates counterparty risk).
 - **Regulated by:** RBI and SEBI (for different segments).

In short:

- **NDS-OM → Trading platform for G-Secs/T-Bills.**
- **CCIL → Ensures safe settlement by acting as the central counterparty.**

NSDL & CDSL — Role vs CCIL (Clear distinction)

- **CCIL (Clearing Corporation of India Ltd.)**
 - Focus: **Wholesale market** (interbank, institutional).
 - Function: **Clearing and settlement of trades in Government Securities (G-Secs), forex, money market instruments, and derivatives.**
 - Acts as: *Central counterparty* — guarantees trade settlement between participants.
 - Regulator: RBI (mainly).

-
- **NSDL and CDSL**
 - Focus: *Retail and capital markets* (stocks, bonds, mutual funds).

- o Function: Act as depositories — hold securities in dematerialised (electronic) form for investors.
- o Services:
 - Maintain investors’ demat accounts.
 - Enable transfer, settlement, and pledge of securities.
 - Support corporate actions (dividends, bonus, etc.).
- o Regulator: SEBI.

D. Equity Market

- **Structure:**
 - o **Primary Market:** IPOs/FPOs, QIPs, Rights Issues under SEBI/Companies Act.
 - o **Secondary Market:** Trading via **NSE, BSE;** settlement through **NSCCL/ICCL (T+1).**
- **Participants:** Retail, HNIs, FIIs, MFs, Banks, FPIs.
- **Instruments:** Shares, ETFs, REITs, InvITs.
- **Depositories:** NSDL, CDSL ensure dematerialised holdings.

4. Derivatives in India

- **Key Uses:** Hedging, Speculation, Arbitrage.

Type	Nature	Market	Example	Regulation
Forwards	OTC, customizable	OTC	Currency forwards (USD/INR hedges)	RBI (FEMA rules)
Futures	Standardized, exchange-traded	NSE, BSE, MCX	Nifty Futures, Gold Futures	SEBI (margin/limit norms)
Swaps	OTC cash flow exchanges	OTC/Bank markets	Interest rate & currency swaps	RBI (hedging guidelines)

- **Recent Development:**
 - o **IFSCA (GIFT IFSC):** USD-denominated gold futures launched (2025).
 - o **Interest Rate Futures:** Deepening bond market liquidity.
- **Governance:**
 - o RBI: OTC currency & interest rate derivatives.

- o SEBI: Exchange-traded derivatives.
 - o IFSCA: Derivatives in IFSC (internationally aligned).
-

5. Precious Metals Market (Spot and Derivatives)

A. Spot Market

- **Structure:** Physical trade in gold, silver, platinum.
- **Import Policy:** Only RBI-nominated agencies or TRQ holders can import gold.
- **Reform:** Launch of **India International Bullion Exchange (IIBX)** in **July 2022** at GIFT City — enabling transparent imports and direct access for jewellers.

B. Derivative Market

- **Platforms:**
 - o **MCX:** INR-denominated gold/silver futures (1 kg lots).
 - o **IIBX (IFSC):** USD-denominated, physically deliverable gold futures (first trade: July 2025).
- **Regulators:**
 - o SEBI → MCX/NCDEX.
 - o IFSCA → IIBX (GIFT City).
- **Products:** Gold and silver futures/options, planned platinum/palladium futures.

Insurance

1. History and Evolution of Insurance

a. Global Context

- **Ancient Roots:**
 - o **Babylon (c. 1750 BCE)** – The **Code of Hammurabi** contained early “insurance-like” clauses (loans forgiven if goods lost at sea).
 - o **Chinese & Indian traders** (3rd millennium BCE) spread risk by distributing goods across multiple ships.
 - o **Greek & Roman “Bottomry Bonds”** – Early marine insurance where loans were repaid only if the ship safely arrived.
- **Middle Ages:**

- o *Lloyd's of London* (late 17th century) became the global hub for marine insurance.
- o **Fire insurance** originated after the **Great Fire of London (1666)** — establishment of “Fire Office” (1667).

- **Modern Era:**

- o 19th–20th centuries: rise of **life, health, and liability insurance** due to industrialization, social welfare ideas, and actuarial science.
- o **Reinsurance** and **global risk markets** developed for financial stability.

b. Indian Context

- **Pre-Independence:**

- o **1818:** Oriental Life Insurance Co. (Calcutta) – first Indian insurer, mostly serving Europeans.
- o **1912: Indian Life Assurance Companies Act - first regulation.**

- **Post-Independence:**

- o **1956:** Life insurance nationalised → **Life Insurance Corporation (LIC)** established.
- o **1972:** General insurance nationalized → **GIC and 4 subsidiaries** formed.
- o **1999: IRDA Act** passed; liberalization began, allowing private and foreign players.
- o **2000s–2020s:** Digital insurance, microinsurance, Insurtech, and embedded products expanded.
- o **Current Regulator: Insurance Regulatory and Development Authority of India (IRDAI).**

2. Fundamental Principles of Insurance

Principle	Explanation	Example
Utmost Good Faith (Uberrimae Fidei)	Both insurer and insured must disclose all material facts honestly.	Concealing pre-existing disease voids a health policy.
Insurable Interest	The insured must have a legal/financial stake in the subject insured.	One can insure their own house but not a neighbour's.
Indemnity	Compensation equals actual loss, not profit (applies to property insurance).	Fire insurance pays for reconstruction cost only.

Principle	Explanation	Example
Subrogation	After paying the claim, insurer acquires insured's right to recover from third party.	If insurer pays for car damage, it can sue negligent driver.
Contribution	If multiple insurers cover the same risk, all share claim proportionally.	Dual health insurance policies share hospital bill.
Proximate Cause	Only the nearest cause of loss (not remote) determines liability.	Loss due to earthquake (insured) vs. resulting fire (uninsured).
Mitigation of Loss	The insured must take reasonable steps to minimize losses.	Attempting to save goods in fire instead of doing nothing.

3. Core Concepts: Risk, Uncertainty, Pooling, Diversification, Indemnity, Insurable Interest

a. Risk

- **Definition:** Probability of loss due to uncertain future events.
- **Types:**
 - *Pure Risk:* Only loss (e.g., accident, death) — insurable.
 - *Speculative Risk:* Gain or loss (e.g., investment) — not insurable.

b. Uncertainty

- **Meaning:** Lack of complete knowledge about outcomes.
- Insurance **transforms uncertainty into measurable risk** via actuarial methods and probability.

c. Risk Pooling

- Collective contribution of many insured persons into a **common fund** to compensate the few who suffer losses.
- Reduces individual financial burden; stabilizes loss exposure through **law of large numbers**.

d. Diversification

- Spreading risk across different types of policies, geographies, or assets to reduce overall exposure.
- *Example:* Insurers invest premiums in varied asset classes (equity, bonds, reinsurance).

e. Indemnity

- Central to property and liability insurance.

- Restores insured to pre-loss financial position — **no profit motive**.
- Example: Rs. 5 lakh fire damage → insurer pays Rs. 5 lakh (not more).

f. Insurable Interest

- Ensures insurance is not a gambling contract.
 - Exists when loss or damage would cause *financial detriment* to insured.
 - Must exist **at the time of policy (life)** or **both at inception and loss (property)**.
-

4. Importance in Economic and Social Context

- **Economic Stability:** Transfers risk from individuals to pooled systems, encouraging entrepreneurship.
 - **Savings Mobilization:** Premiums fund long-term infrastructure via insurers' investments (especially LIC, GIC).
 - **Social Security:** Life, health, crop, and micro-insurance reduce vulnerability of poor households.
 - **Financial Inclusion:** Schemes like *PM Jeevan Jyoti Bima Yojana*, *PM Suraksha Bima Yojana*, *Ayushman Bharat* broaden coverage.
 - **Resilience:** Enhances recovery from disasters, pandemics, and business interruptions.
-

5. Global and Indian Trends

- **Digitalization & InsurTech:** AI-based underwriting, telematics, blockchain for claim verification.
- **Parametric Insurance:** Pays based on triggers (e.g., rainfall index) rather than actual loss.
- **Climate Risk Coverage:** Catastrophe bonds and sovereign risk pools (e.g., Caribbean Catastrophe Risk Insurance).
- **India's Focus:** Expanding penetration (currently ~4.2% of GDP vs global ~7%), rural insurance, ESG-linked products.

3. Legal Foundations and Basics of Group, Health, and Pension Insurance

1. Key Legislations

- o **Insurance Act, 1938:**
The cornerstone law that regulates all forms of insurance in India — covering registration, licensing, capital requirements, investments, commissions, and reporting obligations.

- o **Life Insurance Corporation Act, 1956:**
Created the Life Insurance Corporation (LIC) after nationalizing private life insurers. LIC was granted monopoly in life insurance until 2000.
- o **General Insurance Business (Nationalisation) Act, 1972:**
Nationalized general insurance and formed the General Insurance Corporation (GIC) with four subsidiaries.
- o **Insurance Regulatory and Development Authority of India (IRDAI) Act, 1999:**
Liberalized the sector, allowed private and foreign participation, and established IRDAI as the statutory regulator.
- o **PFRDA Act, 2013:**
Created the **Pension Fund Regulatory and Development Authority (PFRDA)** to oversee pension funds and promote retirement savings.
- o **Other Applicable Laws:**
Companies Act (2013) for corporate governance, *Consumer Protection Act (2019)* for grievance redressal, and *FEMA (1999)* governing foreign investments

The Indian government has increased the Foreign Direct Investment (FDI) limit in the insurance sector from 74% to 100% to attract capital, encourage competition, and improve insurance penetration. This change will be enabled through amendments to the *Insurance Act, 1938*, and other related legislation

2. Regulatory Institutions

- o **IRDAI:** Regulates insurance companies, brokers, and intermediaries; approves products; ensures solvency and fair market conduct.
Recent focus areas include: risk-based supervision, simplified product approval, and a regulatory sandbox for innovation.
- o **PFRDA:** Supervises NPS and APY; licenses pension fund managers and central record-keeping agencies; ensures transparency and portability in pension accounts.

B. Group Insurance

Group insurance provides coverage to a defined group of people under a single master policy — usually employees, customers, or members of an association.

- **Features:**
 - o One contract between the insurer and the employer/organization.

- o Premium based on group risk profile; lower due to pooling and economies of scale.
- o Simplified underwriting — no need for individual medical tests.
- o Claims are paid to the master policyholder or directly to members.

Types:

- o *Group Term Life Insurance* (e.g., employer-provided life cover).
 - o *Group Health/Medicaid Insurance* (covers hospitalization).
 - o *Group Personal Accident Insurance*.
 - **Regulatory Aspects:**
IRDAI's *Group Insurance Guidelines* ensure fair pricing, disclosure, and portability. The master policyholder acts as trustee for members, bound by fiduciary responsibility.
-

C. Health Insurance

Health insurance protects individuals and families from high medical costs and promotes healthcare access.

1. Types of Products:

- o *Individual or Family Floater Policies* — reimbursement or cashless hospitalisation.
- o *Top-Up and Super Top-Up* — additional coverage beyond a base policy.
- o *Critical Illness & Hospital Cash Plans* — lump-sum or per-day benefits.
- o *Government Health Schemes* — e.g., Ayushman Bharat - PM-JAY, RSBY.

2. Key Regulations:

- o The **IRDAI (Health Insurance) Regulations** and **Master Circular (2024)** standardize definitions, exclusions, and customer information sheets.
- o **Third-Party Administrators (TPAs)** are licensed and regulated to manage claims efficiently.

3. Trends and Reforms:

- o Wellness-linked premiums and telemedicine coverage.
- o InsurTech integration — digital underwriting, claim automation.
- o Alignment with Ayushman Bharat's health inclusion goals.

D. Pension and Retirement Insurance

Pension insurance products aim to provide post-retirement income security by converting savings into periodic payments (annuities).

1. Regulatory Framework:

- o Governed by the **PFRDA Act (2013)** for voluntary and mandatory schemes.
- o IRDAI regulates private annuity products sold by life insurers.

2. Key Schemes:

- o **National Pension System (NPS):**
Market-linked defined contribution plan open to all citizens. Offers tax benefits under Section 80CCD. Assets managed by licensed Pension Fund Managers.
- o **Atal Pension Yojana (APY):**
Guaranteed minimum monthly pension (₹1,000-₹5,000) for informal sector workers; government co-contribution for 5 years.
- o **Employer Schemes:**
EPF and EPS under the EPF Act; group pension plans by insurers like LIC.

3. Economic Importance:

- o Pension funds are major sources of **long-term capital formation**, financing infrastructure and government debt.
 - o India's pension coverage is still low (~25% of workforce), so reforms aim at expanding voluntary participation and digital enrolment.
-

4. Intermediation: Mobilising Savings, Evolution, and Bancassurance in India

A. Role of Insurance as Financial Intermediary

Insurance serves as a crucial financial intermediary by:

- **Pooling small, regular savings (premiums)** from individuals and households.
- **Investing** these funds in long-term instruments such as government bonds, infrastructure, and corporate debt.
- **Recycling funds** back into the economy, thereby supporting capital formation and stability.

For instance, LIC alone manages assets exceeding ₹45 lakh crore (2024), much of which is invested in infrastructure and social-sector projects — making insurance a key engine of **long-term domestic capital mobilisation**.

B. Evolution of Intermediation in India

1. Pre-Liberalization (1956-1999):

- o State monopoly under LIC and GIC.
- o Traditional products with strong savings focus; limited innovation or competition.
- o Agents were the primary distribution channel.

2. Post-Liberalization (2000-2015):

- o Private and foreign players entered after IRDAI Act (1999).
- o Emergence of diversified intermediaries — brokers, corporate agents, web aggregators.
- o Growth of ULIPs (Unit-Linked Insurance Plans) integrating investment and protection.

□ ULIP (Unit Linked Insurance Plan):

- It's a **combo of insurance and investment**.
- When you pay the premium, part of it goes toward **life insurance**, and the rest is **invested** in funds — like **equity, debt, or hybrid funds** (similar to mutual funds).
- So, you get **market returns** along with **life cover**.
- Example: If you invest ₹1 lakh a year in an **HDFC Life ULIP**, maybe ₹10,000 goes toward life cover and ₹90,000 gets invested in market-linked funds.
- You can withdraw after **5 years** (lock-in).

General Insurance:

- It's **pure protection**, not investment.
- You pay a premium, and if a **loss or damage** happens, the company **compensates you**. If nothing happens, you don't get anything back.
- Example:
 - o **Health insurance** – covers hospital bills.

Telematics- the branch of information technology which deals with the long-distance transmission of computerized information.

Embedded insurance means insurance built directly into the purchase of a product or service, so the buyer gets protection automatically — without needing to buy a separate policy.

How it works:

The insurance is bundled or integrated into another product, platform, or transaction — often through digital channels or partnerships between insurers and non-insurance companies.

Examples:

When you buy a new smartphone, and it automatically comes with screen damage insurance.

Flight booking websites (like MakeMyTrip) offering travel insurance at checkout.

3. **Digital & InsurTech Era (2015-present):**

- o Online policy sales, AI-based underwriting, telematics.
 - o Emergence of **embedded insurance** — bundled with loans, travel, or e-commerce.
 - o Use of data analytics to reach underinsured populations.
-

C. Bancassurance in India

Bancassurance refers to the distribution of insurance products through banks — combining the outreach of banks with the risk expertise of insurers.

1. **Rationale:**

- o Banks have a vast customer base, trust, and branch network.
- o Provides banks with fee-based income and insurers with cost-effective access to clients.

2. **Models of Bancassurance:**

- o **Corporate Agency Model:** Bank acts as insurer's agent and earns commission.
- o **Referral Model:** Bank refers customers; insurer completes the sale.
- o **Joint Venture Model:** Bank co-owns the insurance company.
- o **Open Architecture (Post-2013 IRDAI Guidelines):** Banks can partner with multiple insurers — one each in life, non-life, and health segments.

3. **Examples:**

- o *SBI Life* (SBI + BNP Paribas Cardif)
- o *ICICI Prudential Life* (ICICI Bank + Prudential plc)
- o *HDFC Life* (HDFC Bank + abrtn)
- o *Canara HSBC Life Insurance* (Canara Bank + HSBC)

4. **Regulatory Safeguards:**

- o IRDAI regulates bancassurance licensing, commission caps, and disclosure norms.
- o RBI guidelines require banks to manage conflicts of interest, train staff, and protect consumer choice.

5. Recent Developments:

- o **Digital Bancassurance:** Integration with UPI and net banking platforms for seamless policy issuance.
- o **API-driven Models:** Allow real-time risk assessment and policy generation.
- o **Rural Outreach:** Bancassurance leveraged for PMJJBY and PMSBY schemes, broadening financial inclusion.

D. Insurance as a Vehicle of Savings and Development

- Life insurance and pension products channel **long-term household savings** into the economy, unlike bank deposits which are short-term.
- They **stabilize financial markets** by providing steady demand for government and corporate bonds.
- Insurance penetration in India (~4.2% of GDP in 2024) is growing but remains below the global average (~7%), suggesting large untapped potential.

5. Summary: Integrated Perspective

Aspect	Essence	Economic / Social Impact
Legal Framework	Provides institutional stability and consumer protection via IRDAI, PFRDA, and statutory acts.	Builds public trust and solvency discipline.
Group & Health Insurance	Protects employees and families; reduces catastrophic health expenses.	Enhances workforce security and welfare.
Pension Insurance	Ensures post-retirement income; diversifies savings base.	Supports old-age security and reduces fiscal burden.
Intermediation & Bancassurance	Converts savings into productive capital; expands outreach.	Deepens financial markets, improves inclusion.

1. Core Functions of Insurance Companies

Insurance companies perform several interlinked functions — from product design to reinsurance — to ensure financial soundness, risk diversification, and customer protection.

A. Product Design

Purpose: Create insurance products that meet customer needs while ensuring profitability and regulatory compliance.

- **Process:**

- Market research → identify insurable needs (e.g. health, property, retirement).
- Design policy features — coverage, exclusions, tenure, premium mode, surrender value.
- Determine target segment and distribution strategy.
- Obtain **IRDAI approval** before launch (mandatory under *File and Use* guidelines).

- **Recent Trends:**

- Customization through modular or “rider” benefits (e.g. critical illness rider).
- Parametric products — payout linked to index (rainfall, earthquake magnitude).
- Use of data analytics for personalized products (usage-based motor insurance).

Example:

HDFC Ergo’s “Pay-As-You-Drive” car policy (India’s first telematics-linked motor insurance).

HDFC ERGO’s “Pay-As-You-Drive” Policy

- **What it is:**

A **usage-based motor insurance policy**, introduced by **HDFC ERGO General Insurance**, where your premium depends on **how much and how safely you drive**.

- **How it works:**

- The policy uses **telematics** (a small device or mobile app) to **track driving behaviour** — distance driven, speed, braking patterns, etc.
 - You **pre-select a kilometre slab** (e.g. 5,000 / 10,000 / 15,000 km).
 - The premium is calculated based on your **actual usage**, not a flat yearly rate.
 - If you drive less or drive safely, you pay **less premium**.
-

B. Pricing (Rate Making or Actuarial Function)

Purpose: Set fair, adequate, and non-discriminatory premiums to cover expected losses and operating costs.

- **Components of Premium:**

- o Expected claim cost (pure risk premium)
- o Operating and administrative expenses
- o Profit and contingency margin
- o Investment income offset

- **Role of Actuaries:**

- o Estimate mortality/morbidity rates, loss ratios, and policy lapse rates.
- o Ensure solvency and compliance with IRDAI (Assets, Liabilities & Solvency Margin) Regulations.

- **Methods:**

- o Experience rating (based on past data)
- o Prospective loss modeling using stochastic simulations

- **Example:**

Life insurers price term plans based on mortality tables like **Indian Assured Lives Mortality (IALM) 2012-14.**

C. Distribution

Purpose: Deliver products effectively to target customers.

- **Traditional Channels:**

- o *Individual Agents* — largest force in India.
- o *Corporate Agents* — banks, NBFCs, large corporates.
- o *Brokers* — represent customers, not insurers.

- **Modern Channels:**

- o *Bancassurance* — banks sell insurance as agents.
- o *Web Aggregators* — e.g., Policybazaar, Turtlemint.
- o *InsurTech & Digital Platforms* — AI-driven onboarding, embedded insurance (e-commerce, UPI apps).

- **Regulatory Basis:**
IRDAI (Insurance Intermediaries) Regulations, 2022.

Example:

Over 65% of new life policies (FY24) sold through bancassurance and digital modes.

D. Underwriting

Purpose: Assess and classify risk before issuing a policy.

- **Key Tasks:**
 - Evaluate risk profile (age, occupation, medical condition, property type).
 - Determine acceptance, rejection, or loading (extra premium).
 - Set policy terms (sum insured, deductible, exclusions).

• **Principle:**

Based on *utmost good faith* — insured must disclose material facts.

- **Example:**
Health insurers use “underwriting grids” to decide premiums for pre-existing diseases.
-

E. Claims Management

Purpose: Fulfil the insurer’s promise — pay valid claims swiftly while preventing fraud.

- **Process:**
 1. Claim intimation and documentation.
 2. Verification (surveyors or TPAs in health/motor).
 3. Settlement or repudiation.
 4. Grievance redressal or appeal to **Ombudsman** (under IRDAI (Protection of Policyholders’ Interests) Regulations, 2023).

• **KPIs:**

Claim Settlement Ratio (CSR) and Turnaround Time (TAT).

- **Examples:**
 - LIC’s CSR: ~98.5% (FY24).
 - Digital claims in motor insurance settled in <24 hours using AI image recognition.
-

F. Investment Management

Purpose: Manage the large pool of premium income until claims arise — balancing safety, liquidity, and return.

- **Regulation:**
IRDAI (Investment) Regulations, 2016 — specify exposure limits to equity, debt, infrastructure, and government securities.
 - **Typical Portfolio Mix:**
 - Life insurers: 50–60% in G-Secs, 15–25% in corporate bonds, rest in equity.
 - Non-life insurers: more liquid, shorter-term investments.
 - **Economic Role:**
Insurance funds are a major source of long-term capital for infrastructure, housing, and social welfare projects.
 - **Example:**
LIC's infrastructure investment portfolio exceeds ₹10 lakh crore (2024).
-

G. Reinsurance

Purpose: Transfer part of the risk to another insurer to reduce loss volatility and improve solvency.

- **Forms of Reinsurance:**
 - *Facultative* (case-by-case basis).
 - *Treaty* (automatic cover for a class of business).
 - *Proportional vs. Non-Proportional* (quota share vs. excess-of-loss).
- **Regulatory Framework:**
IRDAI (Reinsurance) Regulations, 2018 — prioritize domestic reinsurers like GIC Re before foreign entities.
- **Functions:**
 - Stabilize underwriting results.
 - Enable insurers to accept large or catastrophic risks.
 - Spread global risk (e.g., natural disasters, aviation, marine).

Example:

GIC Re (India's sole domestic reinsurer) reinsures major catastrophe covers such as cyclones and earthquakes in India and Asia.

2. Major Insurance Lines and Products

Insurance business globally and in India is divided into four broad lines — **Life, Annuities, Health, and Property-Liability (General)**.

A. Life Insurance

Covers financial risk of death or survival of the insured.

- **Main Products:**
 - *Term Insurance*: Pure protection; fixed term; no maturity benefit.
 - *Whole Life*: Covers life-long; premium until a certain age.
 - *Endowment Plans*: Protection + savings; lump-sum on death/maturity.
 - *Unit-Linked Insurance Plans (ULIPs)*: Market-linked investment + insurance.
 - *Micro-Insurance*: Low-cost policies for rural and informal workers.
 - **Objective:** Income replacement, family protection, and savings mobilization.
 - **Example:** LIC's *Jeevan Amar* (pure term) and HDFC Life's *Click2Invest* (ULIP).
-

B. Annuities (Pension/Retirement Products)

Provide a **stream of income** during retirement, converting lump-sum savings into periodic payments.

- **Types:**
 - *Immediate Annuity*: Starts right after purchase.
 - *Deferred Annuity*: Payments start after a deferment period.
 - *Fixed vs. Variable Annuities*: Based on market performance.
 - **Instruments:**
 - *National Pension System (NPS)*, *LIC Jeevan Akshay*, and *Atal Pension Yojana (APY)*.
 - **Economic Role:** Stabilise old-age income and reduce public pension burden.
-

C. Health Insurance

Covers medical expenses and health-related risks.

- **Products:**
 - *Indemnity Plans* (hospitalisation reimbursement).
 - *Defined Benefit Plans* (lump-sum on diagnosis).
 - *Family Floater*, *Critical Illness*, *Top-up*, and *Personal Accident* covers.

- Institutional Dimension:**
 - IRDAI and Health Insurance Council regulate.
 - TPAs manage claims and hospital networks.
- Example:** *Ayushman Bharat – PM-JAY* (public health insurance for low-income families).

D. Property and Liability (General Insurance)

Protects against loss or damage to property, vehicles, or legal liabilities.

- Major Sub-Lines:**
 - Fire Insurance:** Industrial and household fire cover.
 - Marine Insurance:** Goods, ships, and freight against perils of the sea.
 - Motor Insurance:** Mandatory third-party + optional own-damage (regulated under Motor Vehicles Act, 1988).
 - Aviation, Engineering, Crop, and Miscellaneous Lines.**
 - Liability Insurance:** Public, product, professional indemnity.
- Example:** *Pradhan Mantri Fasal Bima Yojana* (crop insurance scheme); *Motor Third Party Insurance* — compulsory by law.

3. Summary Table

Function	Purpose	Example
Product Design	Align customer need & insurer profitability	Pay-as-you-drive car insurance
Pricing	Set fair premiums	Mortality-based life pricing
Distribution	Expand market reach	Bancassurance (SBI Life)
Underwriting	Assess and classify risks	Health underwriting grids
Claims	Fulfil policy promise	24-hour AI motor claims
Investment	Grow funds safely	LIC infra investments
Reinsurance	Diversify and stabilize risk	GIC Re catastrophe reinsurance

Insurance Line	Focus Area	Examples
Life	Death/survival risk	Term, Endowment, ULIP
Annuities	Retirement income	NPS, LIC Jeevan Akshay

Insurance Line	Focus Area	Examples
Health	Medical cost protection	Family Floater, PM-JAY
Property-Liability	Asset and liability risk	Motor, Fire, Crop Insurance

1. Liability Risks and Liability Insurance

A. Nature of Liability Risk

- **Definition:** Liability risk arises when an individual or organization is **held legally responsible** for injury, loss, or damage caused to another person or property.
- **Types of liability:**
 1. **Civil liability** – arising from negligence or breach of duty (e.g., professional negligence).
 2. **Contractual liability** – arising from contract obligations.
 3. **Statutory liability** – imposed by specific laws (e.g., environmental, product, or motor vehicle acts).

Characteristics:

- Often **low frequency but high severity** — unpredictable and potentially catastrophic.
- Can extend to **bodily injury, property damage, or financial loss**.
- Increasingly complex due to **new-age risks** — cyber, directors' liability, data breaches, ESG claims, etc.

B. Major Liability Insurance Products in India

Type	Coverage	Example / Legal Reference
Public Liability Insurance	Covers legal liability to the public due to accidents in premises or operations.	Public Liability Insurance Act, 1991 (mandatory for hazardous industries).
Product Liability Insurance	Covers manufacturer's or seller's liability for harm caused by defective products.	Consumer Protection Act, 2019 – Product Liability section.
Professional Indemnity	Protects professionals (doctors, CAs, architects, lawyers) against	IRDAI-approved professional indemnity

Type	Coverage	Example / Legal Reference
Insurance	errors or omissions.	policies.
Directors and Officers (D&O) Liability	Covers managerial liability for decisions causing company/shareholder loss.	SEBI (LODR) 2015 – mandates D&O cover for top management.
Employer's Liability / Workmen Compensation	Covers employee injury/death during employment.	<i>Employees' Compensation Act, 1923.</i>
Environmental Liability / Pollution Legal Liability	For costs arising from pollution or environmental damage.	<i>Environment Protection Act, 1986.</i>
Cyber Liability Insurance	Covers data breaches, ransomware, digital loss, and regulatory fines.	Emerging under IRDAI Sandbox; offered by ICICI Lombard, HDFC Ergo.

Emerging Trends:

- Increasing corporate awareness due to ESG governance and litigation risk.
- IRDAI exploring *mandatory liability lines* for certain high-risk sectors (chemical, healthcare, data management).
- Cross-border reinsurance demand via GIC Re and Lloyd's India for complex liabilities.

2. Valuation and Solvency Requirements in Insurance

Insurance companies must maintain adequate financial strength to honour policyholder claims, which is ensured through **asset and liability valuations** and **solvency regulations**.

A. Valuation Principles

Objective: To assess the insurer's true financial position — determining policyholder liabilities, reserves, and capital adequacy.

- **Valuation of Liabilities:**

- o Based on **Actuarial Valuation (Life Insurance)**: present value of future obligations minus future premiums.
- o For General Insurance: estimation of *Outstanding Claims Reserve (OCR)*, *Unexpired Risk Reserve (URR)*, and *IBNR (Incurred But Not Reported)* reserves.

- **Valuation of Assets:**

- o Carried at market or amortised cost depending on IRDAI (Investment) Regulations, 2016.
- o Only “approved investments” (Government securities, bonds, high-rated equities) count toward solvency.

Actuarial Oversight:

Each insurer must appoint an **Appointed Actuary** under IRDAI (Appointed Actuary) Regulations, 2022 — responsible for:

- Pricing and valuation.
- Solvency testing.
- Product certification and stress testing.

An actuary is a professional who assesses and manages financial risks and uncertainty using mathematics, statistics, and financial theory.

B. Solvency Requirements

Meaning:

Solvency margin = excess of assets over liabilities required to ensure the insurer can meet obligations under adverse conditions.

- **Regulatory Framework:**
Section 64VA, Insurance Act, 1938 and IRDAI (Assets, Liabilities and Solvency Margin of Insurers) Regulations, 2016.
- **Minimum Solvency Margin (MSM):**
 - o **Life Insurers:** 150% of required solvency margin.
 - o **General Insurers:** 150% of required solvency margin.
 - o **Reinsurers:** 200%.

Purpose:

- Protect policyholders against insolvency.
- Maintain confidence in the insurance system.
- Enable international equivalence (aligned with **Solvency II** and **IAIS standards**).

Example (India):

- LIC (FY2024) Solvency Ratio: ~185%.
 - Private life insurers (average): ~205%.
 - IRDAI may introduce **Risk-Based Capital (RBC)** norms — aligning solvency with insurer’s specific risk profile.
-

C. Emerging Global & Indian Reforms

- **Risk-Based Solvency (RBS)** framework being implemented in India from 2025 (pilot stage).
- Shift toward **IFRS 17 (Insurance Contracts)** for valuation and disclosure — ensures comparability across jurisdictions.
- **Stress Testing & ORSA (Own Risk and Solvency Assessment)** introduced for large insurers.

3. Specialist Insurance Lines in India

A. Agricultural Insurance

Objective: Protect farmers against loss of crops, livestock, or agricultural income due to natural calamities or weather variations.

1. Historical Evolution

- 1972: Pilot Crop Insurance Scheme by GIC.
- 1985: Comprehensive Crop Insurance Scheme (CCIS).
- 1999: National Agricultural Insurance Scheme (NAIS).
- 2016: **Pradhan Mantri Fasal Bima Yojana (PMFBY)** – comprehensive, technology-driven, and subsidy-based.

2. Current Framework: PMFBY

Feature	Details
Launch	2016, merged NAIS + MNAIS
Coverage	Food, oilseed, horticultural crops
Perils Covered	Drought, flood, pests, cyclone, etc.
Premium Sharing	Farmer: 1.5% (Rabi), 2% (Kharif), 5% (Horticulture); rest subsidized by Centre & State.
Technology Integration	Satellite imagery, remote sensing, drones for yield estimation.
Implementation	Public and private insurers (e.g., AIC, IFFCO Tokio, Bajaj Allianz).
Nodal Agency	Agriculture Insurance Company of India (AIC).

3. Other Agricultural Insurance Lines

- **Weather-Based Crop Insurance Scheme (WBCIS)** – payout linked to weather indices.
- **Livestock and Poultry Insurance** – covers death/disease of animals.

- **Horticulture Insurance** – high-value crops.
- **Parametric & Climate Index Insurance** – emerging products using climate data.

B. Export Credit Guarantee Insurance

Objective: Promote exports by **protecting exporters and banks** against non-payment risk from foreign buyers or political instability.

1. Institution: **ECGC Ltd. (formerly Export Credit Guarantee Corporation of India Ltd.)**

- **Ownership:** 100% Government of India (under Ministry of Commerce & Industry).
- **Regulation:** IRDAI licensed; founded under the Companies Act, 1957.
- **Primary Role:**
 - o Provides **credit risk insurance** to exporters and banks.
 - o Encourages export finance and trade credit extension.

2. Major Products

Category	Purpose	Examples
Shipment Policies (Short-Term)	Protect exporters against commercial (buyer default) & political (war, currency inconvertibility) risks.	Standard Policy, Small Exporter Policy.
Specific Shipment Policies (Medium/Long-Term)	For capital goods or turnkey projects.	Buyer Credit Policy, Supplier Credit Policy.
Export Credit Insurance for Banks (ECIB)	Protects banks that extend credit to exporters.	ECIB (WT-PC) for pre-shipment, ECIB (WT-PS) for post-shipment.
Overseas Investment Insurance	Covers Indian investments abroad against expropriation or war risks.	ECGC OII Scheme.

A turnkey project is a method of project delivery where a single contractor handles all aspects of a project, from initial design to final construction and commissioning, resulting in a ready-to-operate facility or system for the client. The term signifies that the client can "turn the key" to begin using the completed project, minimizing their involvement in the day-to-day management. This approach provides a single point of responsibility, streamlining the process and reducing complexity.

3. Importance:

- Facilitates trade finance by lowering risk premium.
- **Encourages MSME exports and supports India’s global competitiveness.**
- Aligns with *Atmanirbhar Bharat* and *Make in India* export goals.

4. Challenges & Reforms:

- Volatility in global trade, sanctions, and geopolitical risks.
- ECGC now uses AI-based credit risk evaluation and digital claim platforms.
- FY24: ECGC insured exports worth **US\$150+ billion**, contributing ~30% of India’s merchandise exports coverage.

4. Synthesis and Significance

Dimension	Function / Importance
Liability Insurance	Protects individuals and corporations from legal and financial claims; supports business confidence.
Valuation & Solvency	Ensure insurer’s stability and protect policyholder interests through capital adequacy.
Agricultural Insurance	Stabilizes rural income and food security; mitigates climate and yield risks.
Export Credit Insurance	Promotes international trade by covering payment and political risks.

Insurance underwriting is the process where an insurer evaluates the risk of insuring a person or asset to decide whether to accept the risk, and if so, to determine the policy's terms and premium. Underwriters assess factors like age, health, occupation, and lifestyle to estimate the likelihood of a claim, setting premiums that reflect the risk profile to ensure the company's financial stability.

1. Reinsurance: Concept and Importance

A. Meaning

- **Reinsurance** is the process by which an insurance company (the **ceding insurer**) transfers part of its risk to another insurance company (the **reinsurer**) in exchange for a premium.

- It is essentially “**insurance of insurance**” — a second layer of protection that stabilizes the insurer’s financial performance and solvency.

B. Objectives of Reinsurance

1. **Risk Diversification:** Spread risk across insurers and countries to avoid concentration.
2. **Stabilization of Results:** Reduce profit/loss volatility due to catastrophic events.
3. **Increase Underwriting Capacity:** Enables insurers to issue larger policies than their capital would otherwise allow.
4. **Catastrophic Protection:** Provides cover against low-frequency, high-severity events (earthquakes, cyclones).
5. **Capital Relief and Solvency Management:** Strengthens solvency ratio by transferring liabilities.
6. **Knowledge Transfer:** Global reinsurers assist Indian insurers with actuarial expertise and risk modeling.

Underwriting in insurance is the process where an insurance company evaluates the risk of an applicant to decide whether to accept the risk, determine the policy terms (like coverage limits and exclusions), and set the premium

C. Types of Reinsurance

Basis	Type	Description	Example
By agreement	<i>Facultative Reinsurance</i>	Individual policy or risk ceded specifically; suited for large or unusual risks.	A nuclear plant or satellite launch.
	<i>Treaty Reinsurance</i>	Automatic cession for a class of business under a standing agreement.	All motor or fire policies up to a limit.
By sharing of loss	<i>Proportional</i>	Premium and losses shared in fixed ratio (quota share, surplus).	40% of every motor policy ceded.
	<i>Non-Proportional</i>	Reinsurer pays only when losses exceed a threshold (excess of loss, catastrophe).	Reinsurer pays if fire loss > ₹10 crore.

D. Reinsurance Market in India

- India has both **domestic** and **foreign reinsurers** operating under IRDAI (Reinsurance) Regulations, 2018.

- **Licensed Entities (2024):**
 - **Domestic reinsurer:** General Insurance Corporation of India (GIC Re).
 - **Foreign Reinsurance Branches (FRBs):** SCOR, Munich Re, Swiss Re, Hannover Re, Lloyd’s India, etc.
 - **Cross-border reinsurers (CBRs):** Allowed under prescribed conditions.

2. GIC Re - The National Reinsurer of India(In "GIC Re," "Re" stands for **reinsurance**)

A. Overview

- **Full Name:** General Insurance Corporation of India (GIC Re).
- **Establishment:** 1972, under the *General Insurance Business (Nationalisation) Act*.
- **Headquarters:** Mumbai.
- **Ownership:** 100% Government of India (under Ministry of Finance).
- **Status:** Designated as **India’s National Reinsurer** under *IRDAI (Reinsurance) Regulations, 2018*.

B. Role and Functions

Function	Description
Domestic Reinsurance	Accepts obligatory cessions and voluntary treaties from Indian insurers.
International Business	Operates globally (UAE, Malaysia, UK, South Africa, Russia); reinsures 160+ countries.
Catastrophic Cover Provider	Provides national protection against cyclones, floods, and large fire losses.
Capacity Building	Supports smaller insurers with technical expertise and risk management.
Financial Strength	India’s only reinsurer rated by S&P (“A-/Stable”).

C. Financial and Operational Profile (FY2023-24)

- **Gross Premium Income:** ~₹47,000 crore.
- **International Business:** ~30% of portfolio.
- **Solvency Ratio:** ~2.2 times (well above IRDAI norm).
- **Market Share in India:** Over 70% of all reinsurance premiums.

3. Obligatory Cessions

A. Meaning

- An **obligatory cession** is the **mandatory portion of every general insurance policy** that Indian insurers must reinsure with the national reinsurer (GIC Re).

B. Legal Framework

- Governed by **Section 101A of the Insurance Act, 1938** and **IRDAI (Reinsurance) Regulations, 2018**.
- The **IRDAI** specifies annually:
 - The *percentage of risk* to be compulsorily ceded.
 - The *classes of business* covered.
 - The *terms and conditions* for such cessions.

C. Current Practice (as per IRDAI Order for FY2024-25):

- **Obligatory cession to GIC Re: 4%** of the sum insured on each general insurance policy (except specific exclusions like reinsurance, aviation hull, and oil & energy risks).
- **Retention by Indian insurers:** Balance 96% can be retained or placed with other reinsurers (domestic or foreign).

Historical Trend:

- Earlier (2000s): Obligatory cession up to 20%.
- Gradual reduction → 5% → 4% (reflecting market liberalisation and foreign participation).

D. Significance of Obligatory Cession

1. **Strengthens Domestic Reinsurance Pool:** Keeps part of premium within the country.
2. **Develops Local Expertise:** GIC Re gains underwriting experience across all classes.
3. **Improves National Retention Ratio:** Reduces outflow of foreign exchange.
4. **Supports Financial Stability:** Ensures capacity during catastrophic losses.

4. Retention of Risk within the Country

A. Concept

- “Retention” refers to the portion of risk that insurers **keep for themselves**, rather than transferring to reinsurers.
- **Retention within India** means ensuring that a substantial part of India’s reinsurance premium and capacity remains in Indian hands (GIC Re and local insurers).

B. IRDAI’s Retention Policy Objectives

1. **Conserve Domestic Capital:** Limit foreign reinsurance outflow.
 2. **Build National Capacity:** Encourage local reinsurers and risk management capability.
 3. **Strategic Autonomy:** Protect India’s ability to cover large domestic risks (e.g., infrastructure, agriculture, defence).
 4. **Gradual Market Liberalization:** Balance between competition (foreign reinsurers) and domestic strength (GIC Re).
-

Order of Preference Rule (2018):

IRDAI set a clear hierarchy for *who gets the first opportunity* to take Indian insurers’ reinsurance business:

1. **Indian Reinsurers (like GIC Re):**
Indian companies must first offer reinsurance to local players — mainly the state-owned **General Insurance Corporation of India (GIC Re)**.
 2. **Foreign Reinsurer Branches (FRBs) in India:**
If GIC Re cannot absorb all the risk, insurers can then offer it to foreign reinsurance companies that have *branches* registered and operating within India.
 3. **Cross-Border Reinsurers (CBRs):**
Only when domestic and local foreign branches don’t have enough capacity, insurers can approach *overseas reinsurers* (those without a presence in India).
-

D. Retention Ratios in Practice

Line of Business	Typical Retention (India)	Comments
Fire & Engineering	60-70%	Shared with GIC Re, FRBs

Line of Business	Typical Retention (India)	Comments
Motor	100%	Fully retained; predictable losses
Health	85-90%	Rising retention due to data maturity
Crop Insurance	40-50%	Catastrophic exposure → shared globally

E. Strategic Importance

- Enhances India’s **financial sovereignty** in managing risk.
- Reduces exposure to **global reinsurance cycles** and **currency volatility**.
- Supports national schemes like **PMFBY, Ayushman Bharat**, and **Bharat Sookshma Bima Yojana** by ensuring domestic capacity.

The scheme known as **Bharat Sookshma Bima Yojana** in Hindi is officially referred to in English as the **Bharat Sookshma Udyam Suraksha Policy**.
 This is a specialized **property insurance policy** designed to provide financial protection to Micro, Small, and Medium Enterprises (MSMEs) in India.

Purpose and Coverage

- Objective:** To safeguard small businesses from financial losses due to unforeseen events and disasters, thereby ensuring their continuity and stability.
- Target Audience:** Enterprises where the total value of insurable assets at any single location does not exceed ₹5 Crore at the time of policy commencement.

5. Challenges and Future Outlook

Challenges	Emerging Solutions / Trends
Catastrophe accumulation (floods, cyclones)	Catastrophe bonds, parametric reinsurance
Limited domestic capital base	IRDAI encouraging new reinsurers and FDI
Pricing cycles (soft vs. hard market)	Risk-based pricing, actuarial modernization
Global regulatory convergence	Adoption of Risk-Based Capital and IFRS 17
Low data transparency	Creation of <i>Indian Catastrophe Risk Pool</i> (2024 proposal)

6. Summary Table

Aspect	Essence / Function
Reinsurance	Transfer of insurance risk to another insurer to stabilize and expand capacity.
GIC Re	India's national reinsurer; accepts obligatory and voluntary cessions; global presence.
Obligatory Cession	Mandated 4% risk cession to GIC Re; ensures national pool and expertise.
Risk Retention within Country	Policy goal to conserve domestic capital and develop local reinsurance strength.

The Insurance Industry: History, Principles, and the Indian Framework

1. History of Insurance (Global and India)

Global Evolution

- **Ancient roots: Insurance traces to early risk-sharing in Babylonia** (Code of Hammurabi, 1750 BCE) — ship borrowers exempted from repayment if vessels sank, an early form of risk transfer.
- **17th-18th centuries:**
 - **Lloyd's Coffee House (London): Became the hub of marine insurance and underwriting.**
 - **Great Fire of London (1666): Triggered formal fire insurance.**
- **19th century onwards: Legal codification via statutes such as the Marine Insurance Act 1906 in the UK.**

Indian Evolution

- **Colonial era:**
 - **Oriental Life Insurance Co. (1818, Calcutta) — first Indian life insurer.**
 - **Madras Equitable (1829) followed.**
- **Legislative milestones:**
 - **Life Insurance Act 1912, Insurance Act 1938 - first regulatory laws.**

Nationalisation:

- **Life Insurance Corporation (LIC) formed in 1956.**
- **General Insurance Corporation (GIC) formed in 1973.**

- **Liberalisation:**
 - IRDA Act 1999 created the *Insurance Regulatory and Development Authority of India (IRDAI)*.
 - **Market opened to private and foreign players (2000 onwards).**
- **Current scenario (2024): 24 life insurers, 34 general insurers (including AIC & ECGC);**

2. Principles of Insurance

Principle	Meaning	Key Implication
Utmost Good Faith (<i>Uberrimae Fidei</i>)	Both insurer and insured must disclose all material facts truthfully.	Non-disclosure can void policy.
Insurable Interest	The insured must suffer loss if the insured event occurs.	Prevents wagering contracts.
Indemnity	Compensation equals actual loss (no profit).	Ensures financial restoration, not gain.
Contribution	Multiple insurers covering the same risk share claims proportionally.	Prevents over-indemnification.
Subrogation	After paying a claim, insurer acquires insured's right to recover from third parties.	Prevents double recovery.
Risk Pooling & Law of Large Numbers	Premiums from many policyholders fund claims for the few who suffer losses.	Reduces uncertainty through diversification.

3. Risk and Uncertainty

- **Risk: Quantifiable** — measurable probability (e.g., mortality, accident rates).
- **Uncertainty: Unquantifiable** — unknown probability (e.g., war, pandemic).
- **Insurance covers only fortuitous, measurable risks.**

In insurance, "fortuitous" means a loss is accidental, unforeseen, and occurs by chance. This is a fundamental principle, as insurance contracts are intended to cover events that are not certain to happen and are outside the reasonable control of the insured and the insurer. Examples of fortuitous losses include damage from an unexpected fire, theft, or natural disaster

Law of Large Numbers: Larger the pool → closer actual losses to expected losses
→ more stable premiums.
Diversification: Spread risk across sectors, geographies, and products to limit correlated losses.

4. Legal and Regulatory Framework (India)

Core Statutes

- Insurance Act 1938 — foundational law, amended repeatedly.
 - IRDAI Act 1999 — established IRDAI as apex regulator.
 - Insurance Laws (Amendment) Act 2015 — liberalisation (higher FDI limits, modernised provisions).
 - Other applicable laws:
 - Indian Contract Act 1872 (valid contract).
 - Motor Vehicles Act 1988 (compulsory third-party cover).
 - Public Liability Insurance Act 1991 (hazardous industries).
 - Consumer Protection Act (policyholder rights).
-

5. Intermediation and Mobilising Savings

Economic Role

- Insurers pool long-term household savings → invest in government securities, corporate debt, and infrastructure.

Insurance Web Aggregator is an insurance intermediary that maintains a website to provide an interface for insurance prospects to compare prices and obtain product information from different insurers and related matters. It does not act as a broker in the traditional sense—it doesn’t typically advise on deep customised insurance solutions or handle the full claim process. Instead, it helps the customer navigate the market.
- Distribution Channels

Channel	Role
Agents	Represent one insurer; earn commissions; handle proposals & claims.
Brokers	Represent client; licensed; offer multi-insurer comparisons.
Corporate Agents / Bancassurance	Banks or corporates sell insurance via branches; major growth driver since 2002.
Web Aggregators like policy bazar.com	Online comparison platforms licensed by IRDAI.

Channel	Role
Micro-insurance & Marketing Firms	Target rural/low-income markets.

6. Core Functions of Insurance Companies

Function	Description
Product Design	Define coverage, term, and riders; ensure regulatory compliance.
Pricing (Actuarial)	Set premium based on expected loss, expenses, and profit; uses mortality/morbidity data.
Underwriting	Evaluate risk, classify applicant, decide acceptance and premium.
Claims Management	Verify loss, assess validity, and settle within IRDAI timelines (30 days for life, 15-30 for non-life).
Investment Management	Deploy “float” in approved assets under IRDAI norms; majority in government securities. Insurers invest the “float” — premium money held before claims are paid — in safe, IRDAI-approved assets. Most of it must go into government securities to ensure capital safety and liquidity, not risky returns. This keeps insurers solvent and protects policyholders’ funds.
Reinsurance	Transfer part of risk to reinsurers to stabilise results and maintain solvency.

7. Insurance Lines and Products

Segment	Major Products	Notes
Life Insurance	Term, Endowment, Whole Life, ULIPs, Child/Education, Pension/Annuities	Long-term contracts; tax benefits under 80C/10(10D).
General (Non-Life)	Motor (Own Damage + TP), Fire & Allied, Marine Cargo/Hull, Engineering, Liability, Crop	Covers property & legal risks.
Health Insurance	Mediclaime, Family Floater, Critical Illness, Top-up, Group Health	Standardised norms, cashless network.
Pension / Annuity	Deferred/Immediate annuities, Retirement ULIPs, NPS-linked plans	Must specify guaranteed benefits.

Market Snapshot (2024):
24 Life Insurers + 34 General Insurers (including AIC and ECGC).

8. Liability Insurance, Solvency & Reserves

Liability Insurance Types

- **Motor Third-Party: Mandatory under *MV Act 1988*.**
- **Public Liability: Required for hazardous industries (*PL Act 1991*).**
- **Employers'/Workmen's Compensation: Covers workplace injury.**
- **Professional / Product Liability: For doctors, lawyers, manufacturers.**
- **Directors & Officers (D&O): For managerial decisions and governance risks.**

Solvency Norms

- **Minimum solvency ratio = 150 % (Available / Required Solvency Margin).**
 - **Capital requirements: Life & General $\geq$ ₹100 crore; Health $\geq$ ₹30 crore.**
-

9. Specialist Insurance Lines in India

Agricultural Insurance (PMFBY)

- ***Pradhan Mantri Fasal Bima Yojana (2016)* protects farmers from crop losses due to natural calamities.**
- **Premiums subsidised by Centre & States; implemented by AIC and private insurers.**
- **Aims to stabilise farmer incomes and sustain agricultural credit flow.**

Export Credit Insurance (ECGC)

- ***Export Credit Guarantee Corporation of India (1957)* insures exporters against buyer default and political risks.**
 - **Provides credit guarantees to banks, pre/post-shipment covers, and overseas investment insurance.**
 - **Operates under the Commerce Ministry; critical for trade financing and SME exports.**
-

10. Reinsurance and Risk Retention

Purpose

- Allows insurers to spread catastrophic or concentrated risks and stabilise claims experience.

Indian Structure

- **GIC Re: Established 1972; national reinsurer.**
 - **Obligatory cession: 4 % of fire & engineering treaty premiums (FY 2025-26).**
- **Foreign Reinsurers: Swiss Re, SCOR, Munich Re operate via branches; IRDAI allows cessions abroad within limits.**
- **Risk Retention:**
 - Smaller risks often fully retained.
 - Large industrial risks partially retained (10-20 %) and reinsured.
- **Regulatory Oversight: IRDAI monitors reinsurance programmes; encourages balance between domestic retention and global diversification.**

ECGC (Export Credit Guarantee Corporation of India Ltd.)

- A Government of India enterprise under the Ministry of Commerce & Industry that promotes exports by covering credit and political risks.

Main Functions:

- **Export Credit Insurance:** Protects exporters from buyer default, insolvency, and political events like war or import bans.
- **Bank Credit Cover:** Insures banks lending to exporters against non-repayment.
- **Overseas Investment Insurance:** Covers Indian investments abroad (JVs, subsidiaries) against political risks — expropriation, war, remittance restrictions.
- **Advisory Role:** Provides country and buyer risk ratings.
- **Policy Support:** Operates the National Export Insurance Account (NEIA) for high-risk markets.

PENSION SECTOR

1. Status of the Pension Sector in India

B. Demographic and Economic Context

- **Population aged 60+ (Census 2011):** 104 million (8.6%).

- **Projected by 2050:** ~340 million (20% of total population) — a *threefold increase*.
- **Life expectancy:** 70 years (2024, UN data).
- **Formal pension coverage:** <25% of workforce (mostly in government and organized sector).
- **Informal/unorganized workforce:** ~85% of total employment → minimal pension

Institution	Mandate / Function
PFRDA (Pension Fund Regulatory and Development Authority)	Regulates and promotes NPS, APY, and related intermediaries (fund managers, POPs). Established under <i>PFRDA Act, 2013</i> .
EPFO (Employees’ Provident Fund Organisation)	Administers EPF, EPS, and EDLI for organized-sector employees under <i>EPF & MP Act, 1952</i> .
IRDAI	Regulates annuity and pension products offered by life insurers.
Department of Financial Services (DFS)	Policy oversight for government pensions and pension reforms.
Ministry of Rural Development	Implements social pensions under NSAP.

E. Evolution of the Pension Sector in India

Period	Milestone
Pre-1990s	Defined Benefit (DB) government pensions dominated. Limited coverage outside government service.
1995	Employees’ Pension Scheme (EPS) introduced under EPFO.
2004	<i>National Pension System (NPS)</i> launched for new central government recruits (Defined Contribution model).
2009–10	NPS opened to all citizens; Swavalamban Yojana launched for unorganized sector.
2015	<i>Atal Pension Yojana (APY)</i> launched for low-income/unorganized workers.
2013–14 onward	Pension Fund Regulatory and Development Authority (PFRDA) Act enacted; NPS architecture institutionalized.

F. Current Coverage and Performance (as of FY2023–24)

Scheme	Subscribers (approx.)	Assets under Management (AUM)
Atal Pension Yojana	6.3 crore	₹35,000+ crore

Scheme	Subscribers (approx.)	Assets under Management (AUM)
EPFO (EPF + EPS)	29 crore accounts (active + inactive)	₹20+ lakh crore corpus
Total Pension AUM (regulated)	~₹29-30 lakh crore	~12% of India's GDP

G. Key Issues and Challenges

- 1. Low Coverage:** 85% workforce outside formal pension system.
- 2. Inadequate Benefits:** Small monthly pensions under EPS/APY due to low contributions.
- 3. Fragmented Regulation:** Multiple agencies (PFRDA, EPFO, IRDAI) with overlapping jurisdictions.
- 4. Informal Sector Inclusion:** Irregular income makes sustained contributions difficult.
- 5. Gender Gap:** Female participation in NPS/APY is significantly lower (around 30%).
- 6. Need for Universal Pension:** No unified old-age income guarantee.

Government (Public Sector) Pension Schemes

1. Civil Service / Government Pension (Old Pension Scheme - OPS)

- Nature:** *Defined Benefit (DB)* – based on last salary drawn and years of service.
- Eligibility:** Government employees recruited before 1 Jan 2004 (Central) / date specified by States.
- Funding:** Non-contributory (paid from government budget).
- Formula:** Pension = 50% of last drawn salary (after 20 years' service).
- Drawback:** High fiscal burden and no portability.
- Status:** Replaced by *NPS* for new recruits post-2004, but some states (Rajasthan, Chhattisgarh, Punjab, Himachal Pradesh, etc.) have reverted to OPS in recent years.

2. National Pension System (NPS)

- Nature:** *Defined Contribution (DC)* scheme regulated by PFRDA.
- Launched:** 2004 (mandatory for new Central Govt. employees).

- **Extended to:** All citizens (2009), Corporate employees, and unorganized sector.
 - **Structure:**
 - o Tier I: Mandatory retirement account (restricted withdrawal).
 - o Tier II: Voluntary savings account (withdrawable).
 - **Contribution:**
 - o Govt. employees - 10% employee + 14% employer.
 - o Others - voluntary, with tax benefits (Sec. 80CCD(1), 80CCD(2)).
 - **Withdrawal:** 60% lump sum (tax-free) + 40% annuity purchase at retirement.
 - **AUM (2024):** ₹10+ lakh crore; 1.2 crore subscribers.
-

3. Atal Pension Yojana (APY)

- **Launched:** 2015 (replacing Swavalamban Yojana).
 - **Target Group:** Unorganized sector workers (18-40 years).
 - **Nature:** *Defined Benefit* (guaranteed monthly pension).
 - **Pension Range:** Guaranteed pension amount of ₹1,000 to ₹5,000/month (after age 60).
 - **Contribution:** Based on age and desired pension (₹42-₹210/month).
 - **Co-contribution:** Government provided 50% of contribution for 5 years (for early joiners, 2015-2016).
 - **Subscribers:** ~6.3 crore (2024).
-

B. Occupational / Employer-Based Schemes

1. Employees' Provident Fund (EPF)

- **Regulator:** EPFO (under Ministry of Labour).
 - **Coverage:** Establishments with ≥20 employees.
 - **Contribution:** 12% of basic salary from employer and employee each.
 - **Nature:** *Defined Contribution* (savings with interest).
 - **Withdrawals:** Partial for housing, medical, marriage, etc.
 - **Interest Rate (2024-25):** 8.25%.
 - **Corpus (2024):** ~₹17-18 lakh crore.
-

2. Employees' Pension Scheme (EPS), 1995

- **Regulator:** EPFO.
 - **Contribution:** 8.33% of employer's EPF share (limited to ₹15,000 salary cap).
 - **Nature:** *Defined Benefit* – lifelong pension after retirement.
 - **Formula:** Pension = (Pensionable salary × Service years) / 70.
 - **Issues:** Low pensions (avg. ₹1,500–₹2,000/month), funding shortfall.
-

3. Superannuation Funds

- **Nature:** Employer-sponsored retirement benefit (voluntary).
- **Tax Benefit:** Employer contribution up to 15% of salary deductible under Sec. 36(1)(iv).
- **Used by:** Large corporates, PSUs, banks.
- Superannuation, or a company pension plan, is a retirement benefit plan provided by a company. Employers and employees contribute a fixed percentage of basic salary into a fund to create a corpus and financial stability for employees upon retirement. This fund is paid out on retirement, death, or resignation of employees. It is designed to ensure financial security for employees post-retirement. Also, contributions to superannuation by employees are a tool for tax benefits

C. Voluntary and Individual Retirement Plans

1. Voluntary NPS (All Citizens Model)

- Any Indian citizen (**18-70 years**) can open an NPS account directly.
- Low-cost, transparent, online model.
- Flexible contributions, auto-choice investment options.

2. Insurance-based Pension / Annuity Plans

- Offered by life insurers (LIC, HDFC Life, ICICI Pru, SBI Life, etc.).
- Types:
 - **Deferred Annuity:** Accumulate corpus → pension later.
 - **Immediate Annuity:** Pension starts immediately after purchase.

3. Mutual Fund Retirement Plans

- Regulated by SEBI.
- Equity/debt-oriented long-term investment products with tax benefits under Sec. 80C.
- Example: HDFC Retirement Savings Fund, ICICI Prudential Retirement Fund.

Scheme	Type	Regulator	Nature (DB/DC)	Target Group	Key Benefit
OPS	Govt. Pension	DFS	DB	Govt. employees (pre-2004)	Guaranteed lifelong pension
NPS	Public/Private	PFRDA	DC	Govt., private, individuals	Market-linked returns, portable
APY	Public	PFRDA	DB	Informal sector	Guaranteed ₹1k-₹5k pension
EPF	Employer	EPFO	DC	Organized sector	Lump sum + interest
EPS	Employer	EPFO	DB	Organized sector	Monthly pension
Superannuation	Employer	IRDAI/Trusts	DC	Corporate employees	Employer benefit

E. Global and Indian Outlook

- India’s **pension assets-to-GDP ratio** (~18%) remains low compared to:
 - US (~150%), UK (~100%), OECD average (~90%).

1. National Pension System (NPS)

A. Background and Evolution

- Introduced:** 1 January 2004 for *Central Government employees (except armed forces)*, replacing the **Old Pension Scheme (OPS)**.
- Extended:** To all Indian citizens on a *voluntary basis* from 1 May 2009.
- Regulated by:** *Pension Fund Regulatory and Development Authority (PFRDA)*, established under **PFRDA Act, 2013**.
- Objective:** To provide **old-age income security** through a **defined contribution**, *market-linked* pension model ensuring fiscal sustainability and individual savings discipline

B. Structure and Design

The NPS operates through a **two-tiered individual account structure**:

Tier	Nature	Purpose
I	Mandatory retirement account (restricted withdrawals).	Core pension savings with tax benefits.
II	Voluntary savings account (withdrawable anytime).	Acts like a savings account linked to NPS.

C. Participants and Architecture

Entity	Function
Subscriber	Individual contributing to NPS.
Point of Presence (POP)	Banks, financial institutions authorized to facilitate enrollment and contributions.
Central Recordkeeping Agency (CRA)	NSDL e-Gov and CAMS – maintain data, transactions, and issue PRAN (Permanent Retirement Account Number).
Pension Fund Managers (PFMs)	Manage investment portfolios (HDFC Pension, SBI Pension, LIC Pension, etc.).
Trustee Bank	Axis Bank (currently) – manages fund flows.
Annuity Service Providers (ASPs)	Life insurers offering annuities post-retirement (e.g., LIC, HDFC Life).

D. Contribution Mechanism

Category	Employee Contribution	Employer Contribution	Total
Central Govt. Employees	10% of Basic + DA	14% by Govt.	24% total
State Govt. Employees	Usually 10% each (varies by state).	—	—
Private Sector / All Citizens Model	Voluntary (minimum ₹1,000 annually).	—	Individual choice
Corporate NPS	As per corporate HR policy (tax benefits available).	Up to 10% of salary deductible.	—

- **Subscribers:** Over 1.25 crore (including government, private, and voluntary).

G. Withdrawal and Exit Rules

- **At Retirement (Age 60):**
 - Withdraw up to **60% lump sum** (tax-free).
 - Remaining **40% must be used** to buy an **annuity** from an ASP for monthly pension.
- **Premature Exit (before 60 years):**
 - Allowed after 3 years.
 - **20% lump sum, 80% annuity purchase** mandatory.
- **Partial Withdrawals:**
 - Up to 25% of contributions for specific purposes (education, marriage, home, illness).
 - Allowed thrice during the subscription.

H. Tax Benefits (Under Income Tax Act)

Section	Benefit	Limit
80CCD(1)	Employee/self-contribution deduction	₹1.5 lakh (part of 80C limit)
80CCD(1B)	Additional self-contribution	₹50,000 (exclusive)
80CCD(2)	Employer contribution (up to 10%/14%)	No upper monetary limit
Maturity Benefits	60% corpus tax-free; annuity taxed as income	—

K. Policy and Reform Directions

- PFRDA is exploring **Guaranteed Pension Products (GPP)** and **Flexible NPS Lite** to increase uptake.
- States demanding hybrid schemes (OPS + NPS) led to proposals like **NPS-Plus**.
- Integration with e-Shram portal for unorganized sector workers under consideration.

2. Atal Pension Yojana (APY)

A. Introduction and Context

- **Launched:** 9 May 2015 by Government of India
-

B. Eligibility and Enrollment

Criteria	Details
Age Limit	18–40 years
Nationality	Indian citizen
Bank Account	Mandatory (auto-debit facility)
Exclusion (from 2022)	Individuals paying income tax or covered under statutory social security schemes (like EPFO, NPS) cannot join APY.

C. Nature of Scheme

- **Defined Benefit (DB)** model — fixed pension guaranteed by the Government of India.
 - Pension starts at age 60 and continues for life.
 - In case of death, spouse continues pension; on both deaths, corpus paid to nominee.
-

E. Government Co-Contribution

- For eligible low-income workers (joined before 31 March 2016):
 - o **Government contributed 50%** of subscriber’s contribution or ₹1,000 per annum (whichever lower) for **5 years**
-

F. Operational Model

- Administered through **banks and post offices** (as Points of Presence).
 - **Auto-debit system** from savings account ensures contribution regularity.
-

G. Benefits

1. **Guaranteed Monthly Pension:** ₹1,000–₹5,000.
 2. **Family Pension:** Spouse eligible after subscriber’s death.
 3. **Corpus Return to Nominee:** Lump sum paid to nominee after death of both subscriber and spouse.
 4. **Tax Benefits:** Eligible under *Sec. 80CCD(1)*.
 5. **Portability:** Across banks and regions.
-

H. Performance and Reach

Parameter (as of March 2024)	Details
Subscribers	~6.3 crore
AUM	~₹35,000 crore
Gender ratio	~55% male, 45% female
Rural share	~70% subscribers
Avg. monthly contribution	₹140-₹200

Leading States: Uttar Pradesh, Bihar, West Bengal, Maharashtra, and Madhya Pradesh.

I. Significance

- APY serves as the **social security pillar** for informal sector workers (drivers, vendors, domestic help, etc.).
- Complements **PM Shram Yogi Maan-Dhan (PM-SYM)** and **e-Shram initiatives**.
- Critical step toward **inclusive pension coverage** under *National Social Security Code, 2020*.

1. PM-SYM (Pradhan Mantri Shram Yogi Maan-Dhan Yojana)

- For **unorganised sector** workers (self-employed, daily wagers, street vendors, etc.)
- **Voluntary, contributory** pension scheme.
- Both worker and government contribute (₹55-₹200/month each).
- Managed by **LIC**, not EPFO.
- Pension: **₹3,000/month** after 60 years.
- Aim: **Social security for informal workers**.

2. EPS (Employees’ Pension Scheme, 1995)

- For **organised sector employees** covered under **EPF with salary <15,000/month (Employees’ Provident Fund)**.
- Employer contributes **8.33% of employee’s basic pay** (from the EPF share).
- Managed by **EPFO (Employees’ Provident Fund Organisation)**.
- Pension depends on salary and service length, not fixed at ₹3,000.

- Aim: Retirement income for formal-sector employees.

Comparative Overview: NPS vs. APY

Feature	National Pension System (NPS)	Atal Pension Yojana (APY)
Type	Defined Contribution (DC)	Defined Benefit (DB)
Launch Year	2004 (Govt.), 2009 (All Citizens)	2015
Regulator	PFRDA	PFRDA
Eligibility	18-70 years (All citizens)	18-40 years (Unorganized workers)
Contribution	Flexible, voluntary	Fixed, auto-debited
Return Type	Market-linked	Government-guaranteed pension
Withdrawal	60% tax-free lump sum + 40% annuity	Pension after 60 only
Tax Benefits	Sections 80CCD(1), (1B), (2)	Section 80CCD(1)
Corpus Management	By PFMs (SBI, HDFC, LIC, etc.)	Managed under NPS architecture
Subscriber Base (2024)	~1.25 crore	~6.3 crore

1. Annuity Plans

- An **annuity** is a *financial contract* between an individual and an insurer in which the individual pays a **lump sum or series of payments**, and in return, the insurer provides **regular periodic income**, usually after retirement.
- **Purpose:** To ensure *steady post-retirement income* and protect against longevity risk (outliving one’s savings).

B. Types of Annuities

Type	Description	Suitable For
Immediate Annuity	Starts immediately after paying a lump sum (usually post-retirement).	Retirees seeking instant income.
Deferred Annuity	Income starts after a chosen deferment period; accumulation happens before payouts.	Younger investors planning for future income.

Type	Description	Suitable For
Fixed Annuity	Pays a predetermined, fixed amount regularly.	Risk-averse investors preferring stability.
Variable Annuity	Returns fluctuate based on underlying fund performance (market-linked).	Investors willing to take moderate market risk.
Lifetime Annuity	Income paid till the annuitant's lifetime.	Individuals seeking longevity protection.
Joint-life Annuity	Pays till either spouse is alive.	Married couples.
Annuity with Return of Purchase Price (ROP)	Pays pension during life; after death, the original purchase price is returned to nominee.	Common in India (popular among NPS retirees).

E. Role in NPS

- Under the **National Pension System**, at least **40% of corpus** (for regular exit) must be used to purchase an **annuity** from a PFRDA-approved **Annuity Service Provider (ASP)** — e.g., LIC, HDFC Life, ICICI Prudential.
- ASP pays **monthly pension for life** as per selected option.

Policy Context

- **IRDAI** regulates annuity products; encouraging **deferred and variable annuities** to align with NPS reforms.
- **GIC Re** and **LIC** dominate India's annuity market, but **private life insurers** (HDFC Life, ICICI Pru, SBI Life) are expanding offerings.

C. Types of Investment Instruments

Category	Examples	Nature
Fixed-income / Debt	Bonds, Government Securities (G-Secs), PPF, Bank FDs, NCDs	Low-risk, stable returns
Equity	Shares, Equity Mutual Funds, ETFs	High-risk, growth-oriented
Hybrid	Balanced or Hybrid Mutual Funds	Mix of equity and debt
Alternative	Real Estate, Gold ETFs, REITs, InvITs, Crypto (unregulated)	Diversification, moderate-to-high risk
Insurance-linked	Endowment, ULIPs, Annuities	Combine protection with savings
Retirement /	NPS, EPF, PPF, APY	Long-term wealth and

Category	Examples	Nature
Pension		income security

D. Asset Allocation

- The *core investment decision* involves deciding what proportion of total investable funds go into **equity, debt, gold, or cash**.
- Age-based rule of thumb:
 - $Equity\ allocation \approx (100 - age)\%$

E. Risk Categories

Type of Risk	Example
Market Risk	Equity price fluctuations
Interest Rate Risk	Bond values fall when rates rise
Credit Risk	Default by bond issuer
Inflation Risk	Returns lose value in real terms
Liquidity Risk	Difficulty in selling investment quickly
Reinvestment Risk	Reinvested income earns lower rate

F. Return Metrics

Measure	Meaning
Nominal Return	Gross return before inflation.
Real Return	Adjusted for inflation.
CAGR (Compounded Annual Growth Rate)	Annualized growth rate over time.
YTM (Yield to Maturity)	Total return if bond held till maturity.
Sharpe Ratio	Risk-adjusted return measure.

G. Investment Process

1. **Goal Setting:** Retirement, education, home, etc.
2. **Risk Profiling:** Assess tolerance (conservative, balanced, aggressive).

3. **Asset Allocation:** Choose mix of equity, debt, etc.
 4. **Product Selection:** Choose mutual funds, NPS, ETFs, etc.
 5. **Monitoring and Rebalancing:** Periodic review to maintain desired allocation.
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H. Institutional Framework in India

- **Regulators:**
 - SEBI – capital markets, mutual funds
 - RBI – monetary policy, government securities, foreign Exchanges, forex market-swaps, spots etc
 - IRDAI – insurance-linked investments, **Annuity plans**
 - PFRDA – pension investments (NPS, APY)
- **Investment Avenues (Public):**
 - EPFO, PPF, SCSS, Sukanya Samriddhi
 - Mutual funds via AMFI-regulated intermediaries

Pension Sector in India

1. Overview and Structure

India's pension system is fragmented and covers only a small portion of the workforce.

- **Challenges:**
 - Coverage concentrated in formal/government sectors.
 - Fragmented regulation: **EPFO** (under Ministry of Labour) and **PFRDA** (under Ministry of Finance).
 - **81% of India's labour force** is informal; **only ~25% of Indians** plan for retirement.
 - **Summary:** India's pension ecosystem combines **public and private schemes**, both contributory and tax-funded, with low penetration but expanding policy focus.
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2. Major Pension Schemes in India

Scheme Category	Examples	Type (DB/DC)	Who Pays	Key Benefit	Portability
Civil / Govt Pensions	Old Pension (pre-2004), Army, Railways	DB	Employer (tax-funded)	Lifetime annuity ~50% of last salary	Non-portable
Employees' Pension Scheme (EPS, 1995)	EPFO for private workers with earnings less than 15k/month	DB (now closed to high-wage entrants)	Employer 8.33% + Govt 1.16% of wages	Pension = (avg last 5 yrs wages × service yrs) / 70 (~50%)	Portable via EPF transfer
Provident Fund (EPF)	EPFO	DC	Employee 12% + Employer ~12%	Lump-sum corpus with interest	Fully portable
National Pension System (NPS)	All-Citizen, Govt, Corporate	DC	Employee 10% + Employer 10% (corporate)	Lump-sum + annuity at retirement	Fully portable
Atal Pension Yojana (APY)	Informal-sector workers	DB	Subscriber + Govt co-contrib. (initially)	Guaranteed ₹1,000–₹5,000/month	Nominal family portability
PM-SYM	Informal workers	DB	Subscriber (voluntary)	₹3,000/month guaranteed	-
Superannuation Funds	Corporate pension funds	DB or DC	Employer (≈15% of pay)	Lump-sum + annuity (1/3 + 2/3 split)	Transferable with service
Private / Pension Funds	NPS Tier II, Insurance Pension Plans	DC	Contributor (voluntary)	Accumulated corpus + annuity	Fully portable

3. Defined-Benefit (DB) vs. Defined-Contribution (DC) Pensions

Defined-Benefit (DB) Schemes:

- Promise a fixed pension based on a formula (usually a fraction of final salary).
- Examples: Pre-2004 government pensions, armed forces, railways, **EPS-95**.

- **EPS formula:** $(\text{Average last 60 months' salary} \times \text{service years}) / 70 \rightarrow$ capped ~50% replacement; minimum ₹1,000/month.
- Financed by the employer or the state; limited portability via "Scheme Certificates."

Defined-Contribution (DC) Schemes:

- Payout depends on contributions and investment returns.
- Examples: **EPF, NPS, APY, PM-SYM, Superannuation Funds.**
- **EPF/EPF:** Employee contributes 12% of basic pay; employer contributes 12% (8.33% to EPS, 3.67% to EPF).
- **NPS:** Both employee and employer contribute fixed percentages; corpus invested in market instruments; at retirement, 60% lump-sum + 40% annuity.
- **APY (2015):** Fixed contribution $\rightarrow$ guaranteed pension ₹1,000–₹5,000/month at 60.
- **PM-SYM (2019):** ₹3,000/month pension for informal workers.
- **Corporate Superannuation Funds:** Employer-funded (up to 15% of pay), paying partly lump-sum and partly annuity.
- **Trend:** Shift from DB (state-backed) to **DC (market-linked)** to widen coverage.

4. National Pension System (NPS)

Nature and Eligibility

- Regulated by **PFRDA**.
- Open to all Indian citizens (including **NRIs/OCIs**) aged **18-70 years**.
- Two accounts: **Tier I (retirement)** and **Tier II (voluntary)**.
- **Tax Benefits:**
 - Up to 10% of salary (basic + DA) deductible under **Sec. 80CCD(1)**.
 - Additional ₹50,000 under **Sec. 80CCD(1B)**.

Investment and Management

- Funded through **Central Recordkeeping Agency (CRA)** under PFRDA.
- Managed by **9 Pension Fund Managers (PFMs):** SBI, LIC, UTI, Kotak, Axis, ICICI, Tata, Aditya Birla, HDFC.
- Subscribers may choose:
 - **Active Choice:** Allocate up to 75% in equities.
 - **Auto Choice:** Equity share reduces with age.

- Regulated to avoid speculative investments.

Withdrawal and Exit

- At 60: 60% tax-free lump sum; 40% annuitized.
 - Small corpus ($\leq$ ₹2.5 lakh): full withdrawal allowed.
 - Early exit: 20% lump-sum allowed ($\geq$ 10 yrs service), remainder annuitized.
 - Partial withdrawals (up to 25%) allowed after 10 years for specific purposes.
 - Upon death: full payout to nominee.
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5. Atal Pension Yojana (APY)

Purpose: Guaranteed pension for unorganized workers (18–40 years old) who are non-taxpayers.

Structure:

- Subscribers select pension (₹1,000–₹5,000 at 60).
- Administered by **PFRDA** using **NPS architecture**.

Performance (as of April 2025):

- Subscribers: **~7.65 crore**
- **~48% women** participants.

Features:

- Lifetime guaranteed pension with family benefit.
- Automatic debit through bank/post office channels.

6. Annuity Plans

Definition: Contracts (mainly with insurance companies) converting a lump-sum into periodic lifelong payments.

Types:

1. **Immediate Annuity:** Payments start immediately after paying lump-sum.
2. **Deferred Annuity:** Payments begin after a fixed deferment period (e.g., 5–10 years).
3. **Fixed/Guaranteed Annuity:** Constant payout; stable but limited upside.
4. **Variable/Indexed Annuity:** Payout linked to market returns or inflation index; offers growth but higher risk.

Providers: LIC, HDFC Life, SBI Life, ICICI Pru, etc.

Regulation:

- Governed by **IRDAI**, with prescribed minimum guarantees and solvency norms.

- Standardised product features and disclosure requirements.

Integration with NPS:

- At NPS exit, 40% of corpus must buy an IRDAI-approved annuity.
 - Common options: life annuity, joint-life, return-of-purchase-price variants.
- Function:** Ensures **steady lifelong income**, complementing lump-sum retirement corpus.
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7. Investment Principles for Pension Schemes

1. Asset Allocation

- Diversify across equities, corporate bonds, G-Secs, and alternatives.
- NPS allows up to **75% equity exposure** for younger subscribers.
- Older investors shift toward fixed income for stability.

1. Nominal Return

Meaning: The raw percentage gain or loss on an investment before adjusting for inflation or taxes.

2. Real Return

Meaning: Return adjusted for **inflation**, showing true purchasing power gain.

$$\text{Real Return } (R_r) = \frac{1 + R_n}{1 + i} - 1$$

Where i = inflation rate.

Approximation: $R_r \approx R_n - i$

Example: If nominal return = 8% and inflation = 5%,

$$R_r \approx 8\% - 5\% = 3\%$$

3. CAGR (Compounded Annual Growth Rate)

Meaning: The smoothed annual growth rate over multiple years — ignores volatility.

$$\text{CAGR} = \left(\frac{V_f}{V_i} \right)^{1/n} - 1$$

Where:

- V_i = initial value
- V_f = final value
- n = number of years

Example: ₹1 lakh → ₹1.33 lakh in 3 years

$$CAGR = i$$

5. Sharpe Ratio

Meaning: Measures risk-adjusted return — excess return per unit of volatility.

$$\text{Sharpe Ratio (S)} = \frac{R_p - R_f}{\sigma_p}$$

Where:

- R_p = portfolio return
- R_f = risk-free return
- σ_p = standard deviation of portfolio returns

Interpretation:

Higher ratio → better risk-adjusted performance (above 1.0 = strong).

Instrument	Issuer	Purpose	Typical Maturity / Duration	Key Features
Treasury Bills (T-Bills)	Government of India	Short-term borrowing to meet liquidity needs	91 days, 182 days, 364 days	Issued at discount, redeemed at face value; zero-coupon; free.
Commercial Papers (CPs)	Corporations, financial institutions	Short-term working capital requirement	7 days to 1 year	Unsecured promissory note issued at discount; higher yield than T-Bills.
Certificates of Deposit (CDs)	Banks and select financial institutions	To raise short-term funds from corporates/individuals	7 days to 1 year (banks); up to 3 years (FIs)	Negotiable, tradable, issued in demat or physical form.
Repos / Reverse Repos	RBI, banks, financial institutions	Collateralised short-term borrowing/lending	Overnight to 14 days (commonly)	Borrower sells securities with agreement to repurchase as part of monetary policy.
Call/Notice Money	Banks and primary dealers	Manage short-term liquidity between institutions	Call Money: 1 day (overnight); Notice Money: 2-14 days	Unsecured interbank lending; highly liquid; rate reflects market liquidity.

Instrument	Issuer	Purpose	Typical Maturity / Duration days	Key Features
				• Marginal Standing Facility (MSF): This is the main window for banks to borrow overnight funds from the RBI when inter-bank liquidity dries up completely. Banks can dip into their Statutory Liquidity Ratio (SLR) requirement to avail of this facility up to a certain limit.